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S. 249 (94th): Securities Acts Amendments

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PUBLIC LAW 94-29—JUNE 4, 1975

Public Law 94-29
94th Congress

An Act

To amend the Securities Exchange Act of 1934 to rem
tion, to foster the development of a national sec
national clearance and settlement system, to make
and Exchange Commission's authority over self-reg
provide for the regulation of brokers, dealers an
securities, to facilitate the collection and publ
concerning the holdings of and transactions in se
Investment managers, and for other purposes.

Be it enacted hy the Senate and House of Repres
United States of America in Congress assembled^ Th
be cited as tlie "Securities Acts Amendments of 197
SEC. 2. Section 2 of the Securities Exchange Ac

78b) is amended by inserting immediately before the

impose requirements necessary to make such regulati
reasonably complete and effective," the following:
ments to and perfect the mechanisms of a national m
securities and a national system for the clearance
securities transactions and the safeguarding of sec
related thereto,".

SEC. 3. Section 3 of the Securities Exchange Ac
U.S.C. 78c) is amended as follows:

(1) Paragraph (3) of subsection (a) thereof is
follows:

"(3) (A) The term 'member' when used with respe
securities exchange means (i) any natural person pe
transactions on the floor of the exchange without t
another person acting as broker, (ii) any registere
with which such a natural person is associated, (ii
broker or dealer permitted to designate as a repres
natural person, and (iv) any other registered broke
agrees to be I'egulated by such exchange and with
the exchange undertakes to enforce compliance with
of this title, the rules and regulations thereunde
For purposes 6f sections (b)(1), 6(b)(4), 6(b)(6),
17(d), 19(d), 19(e), 19(g), 19(h), and 21 of this
'member' when used with respect to a national secur
also means, to the extent of the rules of the exch
Commission, any person required by the Commission
such rules pursuant to section 6(f) of this title.

"(B) The term 'member' when used with respect t
securities association means any broker or dealer w
regulated by such association and with respect to
tion undertakes to enforce compliance with the prov
title, the rules and regulations thereunder, and i

(2) Paragraph (9) thereof is amended to read as

"(9) The term 'person' means a natural person,
ment, or political subdivision, agency, or instrum
ment.".

(3) Paragraph (12) of subsection (a) thereof is
as follows:

"(12) The term 'exempted security' or 'exempted
securities which are direct obligations of, or obli
to principal or interest by, the United States; suc
guaranteed by corporations in which the United Stat
indirect interest as shall be designated for exempt
of the Treasury as necessary or appropriate in the

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for the protection of investors; m
Post, p. 101. tion 3(a) (29) of this title: Pr
ties shall not be deemed to be 'ex
sections 15, 15A (except subsectio
Post, pp. 121, thereof), and 17A of this title;
127, 141. common trust fund or similar fund
for the collective investment and
thereto by such bank in its capaci
or guardian; any interest or parti
maintained by a bank or in a separ
ance company which interest or par
with (A) a stock bonus, pension, o
the requirements for qualification
26 use 401. Revenue Code of 1954, or (B) an an
requirements for the deduction of

26 use 404.

section 404(a)(2) of such Code, ot
clause (A) or (B) of this paragrap
all of whom are employees within t
such Code, and such other securiti
others, unregistered securities, t
intrastate) as the Commission may,
it deems consistent with the publi
investors, either unconditionally
or for stated periods, exempt from
provisions of this title which by
'exempted security' or to 'exempte

(4) Paragraphs (17), (18), and
amended to read as follows:

" (17) The term 'interstate co
portation, or communication among
foreign country and any State, or
ship outside thereof. The term als
facility of a national securities
interstate means of communication,
instrumentality.

"(18) The term 'person associa
ciated person of a broker or deale
or branch manager of such broker o
a similar status or performing sim
or indirectly controlling, control
such broker or dealer, or any empl
that any person associated with a
solely clerical or ministerial sha

Post, p. 121.

such term for purposes of sectio
paragraph (6) thereof).

"(19) The terms 'investment com
company', 'separate account', and

15 use 80a-2.

as in the Investment Company Act

(5) Paragraph (21) of subsecti
as follows:

"(21) The term 'person associat
person of a member' when used with
securities exchange or registered
partner, officer, director, or bra
person occupying a similar status
any person directly or indirectly
common control with such member, o

(6) Subsection (a) thereof is
thereof the following new paragrap

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"(22) (A) The term 'securities information proc
person engaged in the business of (i) collecting, p
paring for distribution or publication, or assistin
or coordinating the distribution or publication of,
respect to transactions in or quotations for any se
an exempted security) or (ii) distributing or publi
means of a ticker tape, a communications network, a
device, or otherwise) on a current and continuing b
with respect to such transactions or quotations. Th
information processor' does not include any bona fi
news magazine, or business or financial publication
regular circulation, any self-regulatory organizati
dealer, building and loan, savings and loan, or hom
or cooperative bank, if such bank, broker, dealer,
erative bank would be deemed to be a securities inf

solely by reason of functions performed by such in
of customary banking, brokerage, dealing, associati
bank activities, or any common carrier, as defined
the Communications Act of 1934, subject to the juri
Federal Communications Commission or a State commis
in section 3(t) of that Act, unless the Commission
such carrier is engaged in the business of collect
preparing for distribution or publication, informa
to transactions in or quotations for any security.

"(B) The term 'exclusive processor' means any s
tion processor or self-regulatory organization whi
rectly, engages on an exclusive basis on behalf of
exchange or registered securities association or a
exchange or registered securities association whic
exclusive basis on its own behalf in collecting, p
for distribution or publication any information wi
transactions or quotations on or effected or made
facility of such exchange or (ii) quotations distr
by means of any electronic system operated or cont
association.

"(23) (A) The term 'clearing agency' means any
as an intermediary in making payments or deliverie
connection with transactions in securities or who
comparison of data respecting the terms of settlem
transactions, to reduce the number of settlements
actions, or for the allocation of securities settl
Such term also means any person, such as a securit
(i) acts as a custodian of securities in connecti
central handling of securities whereby all securit
class or series of any issuer deposited within th
fungible and may be transferred, loaned, or pledge
entry without physical delivery of securities cer
wise permits or facilitates the settlement of secu
the hypothecation or lending of securities without
of securities certificates.

"(B) The term 'clearing agency' does not inclu
Reserve bank. Federal home loan bank, or Federal l
any national securities exchange or registered se
solely by reason of its providing facilities for
respecting the terms of settlement of securities
such exchange or by means of any electronic syste
trolled by such association; (iii) any bank, brok
and loan, savings and loan, or homestead associat
bank if such bank, broker, dealer, association, o

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would be deemed to be a clearing
performed by such institution as
age, dealing, association, or coo
by reason of acting on behalf of
therein in connection with the fur
services to its participants or t
by its participants, unless the Co
as necessary or appropriate to as
ance and settlement of securities
this title; (iv) any life insuranc
accounts, or a subsidiary of such
of functions commonly performed by
variable annuity contracts or var
insurance company or its separate
end investment company or unit in

functions commonly performed by i
such registered open-end investme
or (vi) any person solely by reaso
described in paragraph 25(E) of th

"(24) The term 'participant' wh
agency means any person who uses a
securities transactions or to tran
securities. Such term does not inc
clearing agency is (A) through ano
(B) as a pledgee of securities.

"(25) The term 'transfer agent'
behalf of an issuer of securities
securities in (A) countersigning s
monitoring the issuance of such se
unauthorized issuance, a function
called a registrar; (C) registerin
(D) exchanging or converting such
record ownership of securities by
issuance of securities certificate
include any insurance company or s
such functions solely with respect
variable life policies which it is
which performs such functions sole
which it issues.

"(26) The term 'self-regulatory
securities exchange, registered se
clearing agency, or (solely for pu
23(b) of this title) the Municip
lished by section 15B of this titl

Post, pp. 146, 1^^-

Post, p. 131.

"(27) The term 'rules of an e
'rules of a clearing agency' means
poration, bylaws, and rules, or in
going, of an exchange, association
agency, respectively, and such of
interpretations of such exchange,
Commission, by rule, may deitermin
in the public interest or for the
be rules of such exchange, associa

"(28) The term 'rules of a self
rules of an exchange which is a na
of an association of brokers and d
association, the rules of a cleari
ing agency, or the rules of the Mu
Board.

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"(29) The term 'municipal securities' means secu
direct obligations of, or obligations guaranteed as
interest by, a State or any political subdivision t
or instrumentality of a State or any political subd
any municipal corporate instrumentality of one or m
security which is an industrial development bond (a
103 (c) (2) of the Internal Kevenue Code of 1954) t
is excludable from gross income under section 103(a
if, by reason of the application of paragraph (4) o
(c) of such Code (determined as if paragraphs (4)
were not included in such section 103(c)), paragrap
tion 103(c) does not apply to such security.

"(30) The term 'municipal securities dealer' mea
(including a separately identifiable department or
engaged in the business of buying and selling munic

his own account, through a broker or otherwise, but
"(A) any person insofar as he buys or sell
his own account, either individually or in s
but not as a part of a regular business; or
"(B) a bank, unless the bank is engaged in
ing and selling municipal securities for its
than in a fiduciary capacity, through a broke
vided, however, That if the bank is engaged i
through a separately identifiable department
defined by the Municipal Securities Rulemaki
ance with section 15B(b) (2) (H) of this tit
division and not the bank itself shall be de
ipal securities dealer.

" (31) The term 'municipal securities broker' me
in the business of effecting transactions in munici
account of others.

" (32) The term 'person associated with a munic
when used with respect to a municipal securities de
or a division or department of a bank means any per
engaged in the management, direction, supervision,
any of the municipal securities dealer's activities
ipal securities, and any person directly or indirec
activities or controlled by the municipal securitie
with such activities.

" (33) The term 'municipal securities investment
municipal securities held for investment and not f
regular business by a municipal securities dealer o
directly or indirectly, controlling, controlled by
trol with a municipal securities dealer.

" (34) The term 'appropriate regulatory agency'
"(A) When used with respect to a municipa
"(i) the Comptroller of the Currency
national bank or a bank operating under
the District of Columbia, or a subsidia
division of any such bank;
"(ii) the Board of Governors of the
tem, in the case of a State member bank
System, a subsidiary or a department or
bank holding company, a subsidiary of a
pany which is a bank other than a bank
(i) or (iii) of this subparagraph, or
ment or division of such subsidiary;
"(iii) the Federal Deposit Insurance
case of a bank insured by the Federal D

57-194 O - 77 - 11

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poration (other than a member
tem), or a subsidiary or depa
"(iv) the Commission in th
securities dealers.
"(B) When used with respect to a
agent:
"(i) the Comptroller of th
national bank or a bank operat
the District of Columbia, or a
"(ii) the Board of Governo

tem, in the case of a State me
System, a subsidiary thereof,
subsidiary of a bank holding c
than a bank specified in claus
graph;
"(iii) the Federal Deposit
case of a bank insured by the
poration (other than a member
tem) , or a subsidiary thereof
" (iv) the Commission in th
cies and transfer agents.
" (C) When used with respect to a
become a participant in a clearing a
or having access to ser\dces offered
"(i) the Comptroller of the
national bank or a bank operat
for the District of Columbia w
agency for such clearing agenc
"(ii) the Board of Governor
tem in the case of a state mem
System, a bank holding company
holding company, or a subsidia
which is a bank other than a b
(iii) of this subparagraph wh
agency for such clearing agenc
"(iii) the Federal Deposit
case of a bank insured by the
Corporation (other than a memb
System) when the appropriate r
clearing agency is not the Com
" (iv) the O)mmission in al
"(D) When used with respect to an
manager which is a bank the deposits
12 use 1811 accordance with the Federal Deposit
°°*®– "(i) the Comptroller of th
national bank or a bank operat
the District of Columbia;
"(ii) the Board of Governo
tem, in the case of any other
Reserve System; and
"(iii) the Federal Deposit
case oi any other insured bank
" (E) When used with respect to
or registered securities association
ciated with a member thereof, applic
thereof or to become associated with
requesting or having access to servi
or association or member thereof, or
Rulemaking Board, the Commission.

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" (F) When used with respect to a person e
discretion with respect to an account;
"(i) the Comptroller of the Currency,
national bank or a bank operating under
for the District of Columbia;
" (ii) The Board of Governors of the
tem in the case of any other member bank
Reserve System;
"(iii) the Federal Deposit Insurance
case of any other bank the deposits of w

accordance wuth the P'ederal Deposit In
"(iv) the Commission in the case of a
As used in this paragraph, the terms 'bank holding
sidiary of a bank holding company' have the meaning
section 2 of the Bank Holding Company Act of 1956.
"(35) A person exercises 'investment discretion'
account if, directly or indirectly, such person (A)
determine what securities or other property shall b
by or for the account, (B) makes decisions as to w
other property shall be purchased or sold by or for
though some other person may have responsibility fo
decisions, or (C) otherwise exercises such influenc
the purchase and sale of securities or other proper
account as the Commission, by rule, determines, in
or for the protection of investors, should be subje
the provisions of this title and the rules and regu
"(36) A class of persons or markets is subject t
if no member of the class has a competitive advanta
member thereof resulting from a disparity in their
this title Avhich the Commission determines is unfa
sary or appropriate in furtherance of the purposes
"(37) The term 'records' means accounts, corresp
randums, tapes, discs, papers, books, and other doc
scribed information of any type, whether expressed
machine language.
"(38) The term 'market maker' means any speciali
act as a dealer, any dealer acting in the capacity
and any dealer who, with respect to a security, hol
entering quotations in an inter-dealer communicatio
wise) as being willing to buy and sell such securi
on a regular or continuous basis.
"(39) A person is subject to a 'statutory disqua
respect to membership or participation in, or assoc
ber of, a self-regulatory organization, if such per
"(A) has been and is expelled or suspended
or participation in, or barred or suspended fr
with a member of, any self-regulatory organiza
"(B) is subject to an order of the Commiss
pending for a period not exceeding twelve mon
registration as a broker, dealer, or municipa
barring his being associated with a broker, de
securities dealer;
"(C) by his conduct while associated with
municipal securities dealer, has been found to
effective suspension, expulsion, or order of
in subparagraph (A) or (B) of this paragraph,
such a suspension, expulsion, or order, the C
self-regulatory organization shall have jurisd
whether or not any person was a cause thereof

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" (D) has associated w
the exercise of reasonable c
person described by s u b p
g r a p h ; or
" (E) has committed or
p a r a g r a p h (D) or (
title, has been convicted
(B) of such p a r a g r a
filing of an application for
become associated with a mem

Post, p. 121.

nization, is enjoined from a
fied in s u b p a r a g r a
made or caused to be made in
or participation in, or to b
of, a self-regulatory organi
a self-regulatory organizati
tory organization, any state
t h e light of the circumsta
misleading with respect to a
state in any such applicatio
fact which is required to be

Rules and regulations.

(7) Subsection (b) thereof is a
" (b) The Commission and the B
Reserve System, as to matters with
shall have power by rules and regu
accounting, and other terms used i
provisions and purposes of this ti
(8) The section is further amen
following new subsection:
" (d) No issuer of municipal s
acting in the course of his offici
a 'broker', 'dealer', or 'municipa
buying, selling, or effecting tran
SEC. 4. Section 6 of the Securi
78f) is amended t o read as follow

" N A T I O

Registration.

Post, p. 146.

" S E C . 6. (a) A n exchange m
exchange under the terms and condi
section and in accordance with the
title, by filing with the Commissi
such form as the Commission, by ru
rules of the exchange and such oth
Commission, by rule, may prescribe
public interest or for the protect
" (b) A n exchange shall not
exchange unless the Commission det
" (1) Such exchange is
able to carry out the purpo
(subject to any rule or or
tion 17(d) or 19(g) (2) of
its members and persons ass
provisions of this title, t
the rules of the exchange.

Post, pp. 137, 146.

" (2) Subject to the p
the rules of the exchange p
dealer or natural person as
dealer may become a Inember
may become associated with

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" (3) The rules of the exchange assur
its members in the selection of its directo
of its affairs and provide t h a t one or m
resentative of issuers and investors and n
member of the exchange, broker, or dealer.
" (4) The rules of the exchange provi
cation of reasonable dues, fees, and other
bers and issuers and other persons using it
" (5) The rules of the exchange are d

lent and manipulative acts and practices,
equitable principles of trade, to foster c
tion with persons engaged in regulating, c
essing information with respect to, and fa
securities, to remove impediments to and p
of a free and open market and a national m
general, to protect investors and the publ
designed to permit unfair discrimination be
issuers, brokers, or dealers, or to regulat
ity conferred by this title matters not rel
this title or the administration of the exc

" (6) The rules of the exchange provi
rule or order of the Commission pursuant t
(g) (2) of this title) its members and pe
members shall be appropriately disciplined
provisions of this title, the rules or reg
rules of t h e exchange, by expulsion, sus
activities, functions, and operations, fin
or barred from being associated with a mem
ting sanction.

" (7) The rules of the exchange ai-e
visions of subsection (d) of this section,
fair procedure for the disciplining of memb
associated with members, the denial of mem
seeking membership therein, the b a r r i n
becoming associated w4th a member thereof,
or limitation by the exchange of any perso
to services offered by the exchange or a m

" (8) The rules of the exchange do no
competition not necessary or appropriate i
purposes of this title.

" (c) (1) A national securities exchange sh
(A) any person, other t h a n a n a t u r a l pe
broker or dealer or (B) any natural person who is
ciated with, a registered broker or dealer.

" (2) A national securities exchange may, and
the Commission, by order, directs as necessary or a
public interest or for the protection shall, deny m
registered broker or dealer or natural person assoc
tered broker or dealer, and bar from becoming assoc
ber any person, w^ho is subject to a statutory disq
securities exchange shall file notice with the Comm
t h i r t y days prior to admitting any person to m
any person to become associated with a member, if t
or in the exercise of reasonable care should have k
person was subject to a statutory disqualification.
in such form and contain such information as the Co
m a y prescribe as necessary or appropriate in the
the protection of investors.

" (3) (A) A national securi
or condition t h e membership of, a
snch broker or dealer does not meet
sibility or operational capability
person association with such broker
ards of training, experience, and c
rules of the exchange or (ii) such
with such broker or dealer has enga
lihood he may again engage in acts
and equitable principles of trade.

examine and verify the qualificatio
member and the n a t u r a l person
accordance with procedures establis
" (B) A national securities e
becoming a member or associated wit
membership of a natural person or a
a member, if such n a t u r a l per
training, experience, and competenc
of the exchange or (ii) has engaged
hood he may again engage in acts or
and equitable principles of trade.
examine and verify the qualificatio
person associated wnth a member in
lished by the rules of the exchange
with a member, or any class of such
exchange in accordance with procedu
" (C) A national securities e
becoming associated wnth a member i
to supply the exchange with such in
tionship and dealings with the memb
of the exchange and (ii) to permit
records to verify the accuracy of a

Membership, limitation.

"('4) A national securities exc
members of the exchange and (B)
nated representatives of members pe
the floor of the exchange without t
as broker: Provided, hotvever, T h
shall have the authority to decreas
exchange, or the number of members
members permitted to effect transac
without the services of another pe
number in effect on May 1, 1975, or
istered with the Commission, whiche
T h a t the Commission, in accordan

Post, p. 146.

19(c) of this title, may amend the
exchange to increase (but not to de
on the number of memberships in suc
members or designated representati
transactions on the floor of the e
person acting as broker, if t h e
imposes a burden on competition no
therance of the purposes of this t

Disciplinary actions.

" (d) (1) I n any proceedin
determine whether a member or perso
should be disciplined (other t h a
p a r a g r a p h (3) of this subs
charges, notify such member or per
to defend against, such charges, an

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by the exchange to impose a disciplinary sanction s
by a statement setting forth—
"(A) any act or practice in which such memb
ciated with a member has been found to have en
such member or person has been found to have o
"(B) the specific provision of this title,
thereunder, or the rules of the excl.ange whic
practice, or omission to act, is deemed to vio
"(C) the sanction imposed and the reasons t
"(2) In any proceeding by a national securities
mine whether a person shall be denied membership, b

becoming associated with a member, or prohibited or
respect to access to services offered by the excha
(other than a summary proceeding pursuant to parag
subsection), the exchange shall notify such person
an opportunity to be heard upon, the specific groun
or prohibition or limitation under consideration an
determination by the exchange to deny membership, b
becoming associated with a member, or prohibit or l
respect to access to services offered by the exchan
shall be supported by a statement setting forth the
which the denial, bar, or prohibition or limitation

"(3) A national securities exchange may summaril
member or person associated with a member who has b
expelled or suspended from any self-regulatory orga
or suspended from being associated with a member of
tory organization, (B) suspend a member who is in s
operating difficulty that the exchange deteiinines
Commission that the member cannot be permitted to c
business as a member with safety to investors, cred
bers, or the exchange, or (C) limit or prohibit any
to access to services offered by the exchange if su
(B) of this paragraph is applicable to such person
person who is not a member, if the exchange determi
son does not meet the qualification requirements or
for such access and such person cannot be permitted
have such access w'ith safety to investors, credito
exchange. Any person aggrieved by any such summary
be promptly afforded an opportunity for a hearing b
accordance with the provisions of paragraph (1) or
section. The Commission, by order, may stay any suc
on its own motion or upon application by any person
thereby, if the Commission determines summarily or
opportunity for hearing (which hearing may consist
mission of affidavits or presentation of oral argum
is consistent with the public interest and the prot

"(e) (1) On and after the date of enactment of t
Amendments of 1975, no national securities exchange
schedule or fix rates of commissions, allowances, d
fees to be charged by its members: Provided^ howeve
1, 1976, the preceding provisions of this paragraph
any such exchange from imposing or fixing any sched
sions, allowances, discounts, or other fees to be c
for acting as broker on the floor of the exchange o
And provided further. That the Commission, in accor
provisions of section 19(b) of this title as modifi
of paragraph (4) of this section, may—

"(A) permit a national securities exchange,
a reasonable schedule or fix reasonable rates

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allowances, discounts, o
for effecting transactio
1976, if the Commission
of commissions, allowanc
public interest; and

" (B) permit a nat
a schedule or fix rates
other fees to be charged
on such exchange after N
t h a t such schedule or
counts, or other fees (i

providing the service fo
Commission publishes the
reasonableness) and (ii)
tition not necessary or
of this title, taking in
permitting such schedule
petitive effects of othe
authorized to take under

Post, p. 146.

" (2) Notwithstanding the
the Commission, by rule, may abr
imposes a schedule or fixes rate
or other fees, if the Commission
rates are no longer reasonable,
accomplish the purposes of this

Information, filing with Speaker of the House and President of the Senate.

" (3) Until December 31, 1
shall file with the Speaker of t
Senate information concerning th
tection of investors, and mainte

the absence of any schedule or f
discounts, or other fees to be c
securities exchange for effectin

Oral presentations.

" (4) (A) Before approving
change submitted by a national s
impose a schedule or fix rates o
other fees to be charged by its
such exchange, the Commission sh
opportunity for oral presentatio
(ii) with respect to any such r
after November 1, 1976, if the C
puted issues of material fact, t
to conduct (or have conducted un
g r a p h) such cross-examinati
appropriate and required for ful
such disputed issues of material

Rules and rulings.

" (B) The Commission shall
cerning any proceeding in accord
p a r a g r a p h designed to av
or rulings may (i) impose reason
person's oral presentations, and
which a person may be entitled u
g r a p h to be conducted by the
in such manner as the Commission
required for full disclosure and
of material fact.

Class representative.

" (C) (i) I f any class of
t o conduct (or have conducted)
g r a p h s (A) and (B) of t
of the Commission, the same or s

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cannot agree upon a single representative of such i
poses of cross-examination, the Commission may make
ings specifying the manner in which such interests
and such cross-examination conducted.

"(ii) No member of any class of persons with res
Commission has specified the manner in which its in
represented pursuant to clause (i) of this subparag
denied, pursuant to such clause (i), the opportunit
have conducted) cross-examination as to issues affe
lar interests if he satisfies the Commission that h

reasonable and good faith effort to reach agreement
representation and there are substantial and releva
would not be presented adequately by group represen
"(D) A transcript shall be kept of any oral pres
cross-examination.
" (E) In addition to the bases specified in su
reviewing Court may set aside an order of the Commi
section 19(b) approving an exchange rule imposing a
lates of commissions, allowances, discounts, or oth
finds—
"(1) a Commission determination under par
that an interested person is not entitled to
tion or make rebuttal submissions, or
"(2) a Commission rule or ruling under pa
limiting the petitioner's cross-examination
missions,
has precluded full disclosure and proper resolution
of material fact which were necessary for fair dete
Commission.
"(f) The Commission, by rule or order, as it dee
appropriate in the public interest and for the prot
to maintain fair and orderly markets, or to assure
may require—
"(1) any person not a member or a designa
of a member of a national securities exchang
actions on such exchange without the service
acting as a broker, or
"(2) any broker or dealer not a member of
exchange effecting transactions on such exch
basis,
to comply with such rules of such exchange as the C
specify.".
SEC. 5. Section 8 of the Securities Exchange Act
78h) is amended as follows:
(1) The first sentence thereof is amended by st

"any member of a national securities exchange, or a
who transacts a business in securities through the
member" and by inserting in lieu thereof the phrase
broker or dealer, member of a national securities e
or dealer who transacts a business in securities th
of any member of a national securities exchange".
(2) The section is further amended by striking
redesignating subsections (c) and (d) thereof as su
(c) respectively, and amending redesignated subsec
as follows:
"(c) To lend or arrange for the lending of any s
the account of any customer without the written con
tomer or in contravention of such rules and regulat
mission shall prescribe for the protection of inves

---

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Trading by members of exchanges, brokers, and dealers.

SEC. 6. Section 11 of the Securiti
78k) is amended as follows :
(1) The title thereof is amended t
EXCHANGES, BROKERS, AND DEALERS".
(2) Subsections (a) and (b) there
" (a) (1) I t shall be unlawful f
exchange to effect any transaction o
account, the account of an associate

to which it or an associated person
discretion: Provided^ however^ T h a
unlawful—

" (A) any transaction by
market m a k e r ;

" (B) any transaction fo
a security in which he is so r

" (C) any stabilizing tr
15 use 78j. rules under section 10(b) of t
of a security in which the mem
participating;

" (D) any bona fide arbi
transaction involving a long o
rity and a long or short posit
to acquire or sell such equity
action in connection with a me
similar transaction involving

" (E) any transaction fo
estate of a n a t u r a l pers
company) created by a natural
natural person;

" (F) any transaction to

" (G) any other transact
vided t h a t (i) such member
of underwriting and distributi
sons, selling securities to cu
one or more of such activities
is derived principally from su
and (ii) such transaction is e
the Commission which, as a min
is not inconsistent with the m
markets and yields priority, p
to orders for the account of p
ciated with members of the exc

" (H) any other transact
by rule, determines is consist
g r a p h , the protection of
and orderly markets.

" (2) T h e Commission, by rule,
in the public interest and for the p
fair and orderly markets, or to assu
markets and markets occurring otherw
regulate or p r o h i b i t :

" (A) transactions on a
ful under p a r a g r a p h (1
ber thereof for its own accoun
the capacity of market maker o
an associated person, or an ac
member or an associated person
cretion :

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"(B) transactions otherwise than on a nati
exchange effected by use of the mails or any
tality of interstate commerce by any member o
rities exchange, broker, or dealer for the ac
broker, or dealer (unless such member, broker
in the capacity of a market maker) the accoun
person, or an account with respect to Avhich
or dealer or associated person thereof exerci
tion ; and

"(C) transactions on a national securities

by any broker or dealer not a member thereof
such broker or dealer (unless such broker or
the capacity of market maker), the account of
son, or an account with respect to which such
associated person thereof exercises investmen

"(8) The provisions of paragraph (1) of this sub
they apply to transactions on a national securities
by a member thereof who was a member on May 1, 1975
become effective until May 1, 1978. Nothing in this
be construed to impair or limit the authority of th
regulate or prohibit such transactions prior to May
to paragraph (2) of this subsection.

"(b) When not in contravention of such rules and
tlie Commission may prescribe as necessary or appro
lic intei'est and for the protection of investors,
oi-derly markets, or to remove impediments to and p
anism of a national market system, the rules of a n
exchange may permit (1) a member to be registered a
dealer- and as such to buy and sell for his own acc
be reasonably necessary to carry on such odd-lot tr
(2) a member to be registered as a specialist. Und
reguhitions of the Commission a specialist may be
a bi'olver and dealer or limited to acting as a br
be unlawful for a specialist or an official of the
infoT-mation in regard to orders placed with such
not available to all members of the exchange, to a
an official of the exchange, a representative of t
specialist Avho may be acting for such specialist:
That the Commission, by rule, may require disclosu
of tlie exchange of all orders placed with special
and T'egulations as the Commission may prescribe a
appiopriate in the public interest or for the prot
It shall also be unlawful for a specialist permitte
and dealer to effect on the exchange as broker any
upon a market or limited price order.".

(8) Subsection (e) thereof is repealed.

SEC. 7. The Securities Exchange Act of 1934 is
after section 11 (15 U.S.C. 78k) the following new

NATIONAL MARKET SYSTEM FOR SECURITIES; SECURITIES
PROCESSORS

"SEC. IIA. (a) (1) The Congress finds that—

"(A) The securities markets are an important
which must be preserved and strengthened.

"(B) New data processing and communications t
create the opportunity for more efficient and e
operations.

" (C) I t is in the
tion of investors and t h
to assure—

" (i) econom
tions ;

" (i i) fair
exchange markets,
kets other t h a n

" (i i i) the
information with r
securities;

" (i v) the

orders in the best
" (v) an oppo
clauses (i) and (i
orders to be execu
" (D) The linking of
communication and data pro
enhance competition, incre
dealers, and investors, fa
and contribute to best exe

National market system for securities, establishment.

" (2) The Commission is dire
the public interest, the protecti
of fair and orderly markets, to u
facilitate the establishment of a
(which may include subsystems fo
unique t r a d i n g characterist
carry out the objectives set fort
The Commission, by rule, shall de
securities qualified for t r a d
among securities other than exemp
of securities so designated herei
'qualified securities'.)

" (3) The Commission is auth
m p a r a g r a p h (2) of this s

Advisory committees, establishment. 5 u s e app. I.

" (A) to create one
the Federal Advisory Comm
tion to the National Mark
to subsection (d) of this
side experts;
" (B) by rule or ord
organizations to act join
they share authority unde
operating, or regulating
system thereof) or one or

Studies and recommendations to Congress.

" (C) to conduct st
Congress from time to tim
tions of the scheme of se
so as to a d a p t it to

Securities information processors.

" (b) (1) Except as other
unlawful for any securities infor
in accordance with this subsectio
of the mails or any means or ins

Exemption.

to perform the functions of a sec
Commission, by rule or order, up
m a y conditionally or unconditio
tion processor or class of secur
or class of securities from any
regulations thereunder, if the C

PUBLIC LAW 9 4 - 2 9 — J U N E 4,

is consistent with the public interest, the protect
the purposes of this section, including the mainten
orderly markets in securities and the removal of im
perfection of the mechanism of a national market sy
however, T h a t a securities information processor
exclusive processor of any information with respect
or transactions in securities is exempt from the re
in accordance with this subsection unless the Commi
order, finds that the registration of such securiti
sor is necessary or appropriate in the public inter
of investors, or for the achievement of the purpose

" (2) A securities information processor may b

with the Commission an application for registration
the Commission, by rule, may prescribe containing t
principal office, or offices, the names of the secu
w^hich it is then acting and for which it proposes
information processor, and such other information a
the Commission, by rule, may prescribe with regard
capability, standards and procedures for the collec
distribution, and publication of information with r
for and transaction in securities, personnel qualif
dition, and such other matters as the Commission de
germane to the provisions of this title and the rul
thereunder, or necessary or appropriate in furthera
of this section.

" (3) The Commission shall, upon the filing
registration pursuant to p a r a g r a p h (2) of t
notice of the filing and afford interested persons
mit written data, views, and arguments concerning s
W i t h i n ninety days of the date of the publicat
within such longer period as to which the applicant
mission shall—

" (A) by order g r a n t such registrat

" (B) institute proceedings to determ
should be denied. Such proceedings shall i
grounds for denial under consideration and
ing and shall be concluded within one hund
date of publication of notice of the filin
registration. A t the conclusion of such p
sion, by order, shall g r a n t or deny su
sion may extend the time for the conclusio
for u p to sixty days if it finds good cau
publishes its reasons for so finding or fo
to which the applicant consents.

The Commission shall grant the registration of a s
tion processor if t h e Commission finds that such
processor is so organized, and has the capacity, to
p r o m p t , accurate, a n d reliable performance
ties information processor, comply with the provisi
the rules and regulations thereunder, carry out its
manner consistent w^ith the purposes of this sectio
acting as an exclusive processor, operate fairly a
Commission shall deny the registration of a securit
processor if the Commission does not make any such

" (4) A registered securities information proces
terms and conditions as the Commission deems necess
ate in the public interest or for t h e protection
from registration by filing a written notice of wit
Commission. I f the Commission finds t h a t any re

---

information processor is no l
ness in t h e capacity speci
Commission, by order, shall c

Access to services, notice of prohibition or limitation..

" (5) (A) I f any reg
hibits or limits any person i
directly or indirectly, by su
istered securities informati
thereof with the Commission.
tain such information as the
necessary or appropriate in t

Review.

of investors. A n y prohibiti
respect to which a registered

required by this p a r a g r
Commission on its own motion,
aggrieved thereby filed withi
filed with the Commission and
within such longer period as
cation to the Commission for
Commission on its own motion,
hibition or limitation, unles
marily or after notice and op
a stay (which hearing may con
or presentation of oral a r g
appropriate cases an expedite
mination of the question of a

" (B) I n any proceedin
any person in respect of acce
rities information processor,
opportunity for hearing, t h
sistent with the provisions o
thereunder and t h a t such p
unfairly, the Commission, by
the Commission does not make
prohibition or limitation imp
essary or appropriate in furt
Commission, by order, shall s
and require the registered se
such person access to service
mation processor.

Limitation, suspension, or revocation of registration. Notice and hearing.

" (6) The Commission, b
upon the activities, function
information processor or susp
months or revoke the registra

mission finds, on the record
t h a t such censure, placing
the public interest, necessar
investors or to assure the pr
the functions of such securit
securities information proces
with any provision of this ti

" (c) (1) No self-regul
information processor, broker
any means or instrumentality
distribute, publish, or prepa
information with respect to q
rity other than an exempted s
nate the distribution or publ
transaction in, or to induce
of, any such security in cont

PUBLIC LAW 9 4 - 2 9 - J U N E 4,

t h e Commission shall prescribe as necessary or ap
public interest, for the protection of investors, o
ance of the purposes of this title to—

" (A) prevent the use, distribution, or
deceptive, or manipulative information with
for and transactions in such securities;

" (B) assure the prompt, accurate, rel
processing, distribution, and publication o
respect to quotations for and transactions
the fairness and usefulness of the form and
information;

" (C) assure t h a t all securities in
purposes of distribution and publication, o
sonable terms such information with respect
transactions in such securities as is collec
pared for distribution or publication by an
of such information acting in such capacity
" (D) assure t h a t all exchange mem
ties information processors, and, subject t
Commission, by rule, may impose as necessar
t h e protection of investors or maintenance
markets, all other persons may obtain on te
unreasonably discriminatory such informatio
quotations for and transactions in such sec
or distributed by any self-regulatory organ
information processor;
" (E) assure t h a t all exchange memb
transmit and direct orders for the purchase
securities in a manner consistent with the
operation of a national market system; and
" (F) assure equal regulation of all
rities and all exchange members, brokers, a
transactions in such securities.

" (2) T h e Commission, by rule, as it deems n
in the public interest or for the protection of in
any person who has effected the purchase or sale o
security by use of the mails or any means or instr
state commerce to report such purchase or sale to
ties information processor, national securities ex
securities association and require such processor,
ciation to make appropriate distribution and publi
information with respect to such purchase or sale.

" (3) (A) T h e Commission, by rule, is auth
and dealers from effecting transactions in securit
ant to section 12(b) otherwise t h a n on a nation
if the Commission finds, on the record after notic
for hearing, t h a t —
" (i) as a result of transactions in
wise t h a n on a national securities excha
liness of the markets for such securities h
manner contrary to the public interest or t
investors;
" (i i) no rule of any national secur
impairs the ability of any dealer to solic
such securities for his own account or unr
petition among dealers in such securities
acting in the capacity of market makers wh
such securities and such dealers who are no
securities, and

(iii) the maintenance
kets in such, securities
means under this title.
The Commission may conditionally
security or transaction or any c
any such prohibition if the Comm
sistent with the public interest,
maintenance of fair and orderly
" (B) F o r the purposes of
ability of a dealer to solicit
own account shall not be deemed

rule of an exchange fairly and r
in which orders brought to the e
been adopted to effect complianc
promulgated under this title.

Review.

" (4) (A) T h e Commissio
national securities exchanges wh
members to effect transactions i

Report to Congress.

exchanges. On or before the nine
enactment of the Securities Acts
shall (i) report to the Congress
effects on competition of such r

Post, p. 146.

in accordance with the provision
amend any such rule imposing a b
appear to the Commission to be n
ance of the purposes of this tit
such proceeding within ninety da
notice of its commencement.

Post, p. 158.

" (B) Review p u r s u a n
promulgated by the Commission in
commenced p u r s u a n t to s u
except as to causes the court co
precedence on the docket over al
consideration at the earliest pr
way.

" (5) No national securitie
tion may limit or condition the
registered clearing agency.

National Market Advisory Board. Establishment; membership.

" (d) (1) N^ot later than
of enactment of the Securities Ac
mission shall establish a Nationa
inafter in this section referred
composed of fifteen members, not
geographical area of the United S
for a term specified by the Comm
more t h a n five years. The Advi
associated with brokers and deale
persons not so associated who are
to the extent feasible, have know
the U n i t e d States.

" (2) I t shall be the respo
late and furnish to the Commissio
proposals made by the Commission
concerning the establishment, ope
for securities in the United Stat

Study and recommendations to the Commission.

" (8) (A) The Advisory Boa
tions to the Commission as to the
the establishment of a national m

Advisory B o a r d shall assume

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committee appointed to advise the Commission with r
national market system which is in existence at the
lishment of the Advisory Board.

"(B) The Advisory Board shall study the possibl
cations of the scheme of self-regulation provided f
as to adapt it to a national market system, includ
establishment of a new self-regulatory organization
this section referred to as a 'National Market Regu
'Regulatory Board') to administer the national mark
event the Advisory Board determines a National Mark

Board should be established, it shall make recommen
"(i) the point in time at which a Regulato
established;
" (ii) the composition of a Regulatory Boa
" (iii) the scope of the authority of a Re
"(iv) the relationship of a Regulatory Boa
sion and to existing self-regulatory organiza
" (v) the manner in Avhich a Regulatory Bo
The Advisory Board shall report to the Congress, on
ber 31,1976, the results of such study and its reco
ing such recommendations for legislation as it deem
"(C) In carrying out its responsibilities under

Advisory Board shall consult with self-regulatory o
brokers, dealers, securities information processor
representatives of Government agencies, and other
or likely to participate in the establishment, ope
of the national market system.
"(e) The Commission is authorized and directed
of the extent to which persons excluded from the d
'broker' and 'dealer' maintain accounts on behalf o
for buying and selling securities registered u^ide
title and whether such exclusions are consistent wi
investors and the other purposes of this title. The
report to the Congress, on or before December 31,
its study together with such recommendations for l

deems advisable.".
SEC. 8. Section 12(f) of the Securities Exchang
U.S.C. 781 (f)) is amended as follows:
(1) Paragraphs (1) and (2) thereof are amended
"(f) (1) Notwithstanding the foregoing provision
any national securities exchange, subject to the te
hereinafter set forth—
"(A) may continue unlisted trading privile
security had been admitted on such exchange p
"(B) upon application to and approval of s
the Commission, may extend unlisted trading p
security listed and registered on any other n
exchange; and
"(C) upon application to and approval of s
the Commission, may extend unlisted trading p
security registered pursuant to section 12 of
would be required to be so registered except
from registration provided in subsection (g)
(G) of that section.
If an extension of unlisted trading privileges to
upon its listing and registration on another nation
change, such privileges shall continue in effect o
security remains listed and registered on a nation

RI-IOA r> _ 77 _ 19

Notice and hearing.

" (2) No application pursuan
unless t h e Commission finds, aft
t h a t the extension of unlisted
application is consistent with the

markets and the protection of inve
for the extension of unlisted t r
and registered on a national secur
among other matters, take account
such security, the character of su
sion on the existing markets for s
of removing impediments to and t h
toward the development of a nation
g r a n t any such application if
exchange making application under
ably impair the ability of any dea
in such security for his own accou
competition among dealers in such
acting in the capacity of market m
dealei-s who are not specialists."

(2) P a r a g r a p h (6) the
19(b) of".

SEC. 9. Section 12 of the Secu
U.S.C. 781) is amended by adding a
subsections:

Registration, denial, suspension, or revocation.

" (j) T h e Commission is au
or appropriate for the protection
effective date of, to suspend for

Notice and hearing.

or to revoke the registration of a
on the record after notice and opp
of such security has failed to com
the rules and regulations thereund
ties exchange, broker, or dealer s
means or instrumentality of inters
action in, or to induce the purcha
tion of which has been and is susp
preceding sentence.

Summary suspension.

" (k) If in its opinion the
investors so require, t h e Commis
pend t r a d i n g in any security
period not exceeding ten days, or
summarily to suspend all t r a d i
or otherwise, in securities other
not exceeding ninety days. No memb
exchange, broker, or dealer shall
or instrumentality of interstate c
in, or to induce the purchase or s
is so suspended.

"(1) I t shall be unlawful for
is registered pursuant to this sec
registered except for the exemptio
subsection (g) (2) (B) or (
means or instrumentality of inters
to issue, either originaHy or upon
in a form or with a format which c
lations as the Commission may pres
for the p r o m p t and accurate c
in securities. The provisions of t
variable annuity contracts or vari
ance company or its separate accou

" (m) The Commission is authorized and direct
a n d investigation of the practice of recording th
rities in the records of the issuer in other than t

ficial owner of such securities to determine (1) wh
is consistent with the purposes of this title, with
t o subsection (g) of this section and sections 13,
17A, and (2) whether steps can be taken to facilita
tions between issuers and the beneficial owners of
at the same time retaining the benefits of such pra
sion shall report to the Congress its preliminary f
months after the date of enactment of the Securitie

of 1975, and its final conclusions and recommendati
of such date.".

SEC. 10. Section 13 of the Securities Exchange
U.S.C. 78m) is amended by adding at the end thereof
new subsection:

" (f) (1) Every institutional investment ma
mails, or any means or instrumentality of interstat
course of its business as an institutional investme
which exercises investment discretion with respect
equity securities of a class described in section 1
having an aggregate fair market value on the last
of the preceding twelve months of at least $100,000
amount (but in no case less than $10,000,000) as t
rule, may determine, shall file reports with the C
form, for such periods, and at such times after th
as the Commission, by rule, may presci'ibe, but in
reports be filed for periods longer than one year
quarter. Such reports shall include for each such
on the last day of the reporting period by account
type as the Commission, by rule, may prescribe) wi
the institutional investment manager exercises inv
(other t h a n securities held in amounts w^hich
determines to be insignificant for purposes of thi
name of the issuer and the title, class, C U S I P
shares or principal amount, and aggregate fair mar
such security. Such reports may also include for a
gate or by type) with respect to which the institu
manager exercises investment discretion such of th
mation as the Commission, by rule, prescribes—

" (A) the name of the issuer and the
ber, number of shares or principal amount,
market value or cost or amortized cost of e
(other than an exempted security) held on
reporting period by such accounts;

" (B) the aggregate fair market valu
cost of exempted securities (in aggregate
t h e last day of the reporting period by s

" (C) the number of shares of each e
described in section 13(d) (1) of this tit
the reporting period by such accounts with
institutional investment manager possesses
ity to exercise the voting rights evidence

" (D) the aggregate purchases and ag
reporting period of each security (other t
security) effected by or for such accounts

" (E) w i t h respect to any transac
having a market value of at least $500,000
as the Commission, by rule, may determine,

---

15 use 78m.

reporting period by or for
a class described in sectio

"(i) the name of th
number of the security
" (ii) the number o
rity involved in the t
"(iii) whether the
" (iv) the per shar
was effected;
"(v) the date or da
" (vi) the date or
"(vii) the broker o
was eft'ected;
"(viii) the market
effected; and
" (ix) such other r
rule, may prescribe.

Exemption.

"(2) The Commission, by rule o
or unconditionally, any instituti
or any class of institutional inv
any or all of the provisions of t

Information, availability to public.

" (3) The Commission shall mak
able fee a list of all equity sec
13(d)(1) of this title, updated n
required to be filed pursuant to
Commission shall tabulate the inf
filed pursuant to this subsection
the Commission, maximize the usef
Federal and State authorities and
of any such report, the Commissio
tained therein conveniently avail
in such form as the Commission, b
Commission, as it determines to b
lic interest or for the protectio
public disclosure of any such inf
552 of title 5, United States Cod
sentence, any such information id
account of a natural person or an
trust or investment company) shal

Consultation.

"(4) In exercising its authori
sion shall determine (and so stat
priate in the public interest and
maintain fair and orderly markets
that its action is consistent wit
jjurposes of this subsection. In
sion shall take such steps as are
with the Comptroller General of t
Office of Management and Budget,
cies. Federal and State authoriti
require reports from institutiona
substantially similar to that cal
securities exchanges, and registe
achieve uniform, centralized repo
securities holdings of and transa
respect to which institutional in
discretion, and (B) consistently
preceding subparagraph, to avoid
by, and minimize the compliance b
managers. Federal authorities whi
reports from institutional invest

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stantially similar to t h a t called for by this su
with t h e Commission in t h e performance of its r

t h e preceding sentence. A n institutional investm
a bank, t h e deposits of which a r e insured in ac
Federal Deposit Insurance Act, shall file with t h
tory agency a copy of every report filed with the C
to this subsection.

" (5) (A) F o r purposes of this subsectio
investment manager' includes any person, other tha
investing in or buying and selling securities for
any person exercising investment discretion with r
of any other person.

" (B) T h e Commission shall adopt such rule
or appropriate to prevent duplicative reporting pu
section by two or more institutional investment ma
investment discretion with respect to the same amo

SEC. 11. Section 15 of the Securities Exchange
U.S.C. 78o) is amended as follows:

(1) T h e title thereof is amended to r e a d : "

LATION OF BROKERS AND DEALERS".

(2) Subsections (a) a n d (b) thereof are ame

" (a) (1) I t shall be unlawful for any broker o
a person other than a natural person or a natural p
with a broker or dealer which is a person other tha
(other than such a broker or dealer whose business
state and who does not make use of any facility of
exchange) t o make use of the mails or any means or
interstate commerce to effect any transactions in,
attempt to induce t h e purchase or sale of, any se
exempted security or commercial paper, bankers' acc
mercial bills) unless such broker o r dealer is reg
with subsection (b) of this section.

" (2) T h e Commission, by rule or order, as
the public interest and t h e protection of investo
or unconditionally exempt from p a r a g r a p h (1
broker or dealer or class of brokers or dealers spe
or order.

" (b) (1) A broker or dealer may be registe
Commission an application for registration in such
ing such information and documents concerning such
and any persons associated with such broker or deal
mission, b y rule, m a y prescribe as necessary o r
public interest or for t h e protection of investor
days of the date of t h e filing of such applicatio
period as to which t h e applicant consents), t h e

" (A) by order g r a n t registration

" (B) institute proceedings to determ
should be denied. Such proceedings shall in
grounds for denial under consideration and
hearing a n d shall be concluded within one
of t h e date of t h e filing of t h e appl
conclusion of such proceedings, t h e Commi
g r a n t or deny such registration. T h e
t h e time for conclusion of such proceedin
if it finds good cause for such extension a
for so finding or for such longer period as
consents.

T h e Commission shall g r a n t such registration
finds t h a t the requirements of this section are

---

sion shall deny such registration i

if it finds t h a t if t h e applic
would be subject to suspension or r
of this subsection.

" (2) (A) A n application f
be formed or organized may be made
t h e broker or dealer to be formed
Such application, in such form as t
scribe, shall contain such informat
applicant, the successor, and any p
cant or the successor, as the Commi
necessary or appropriate in the pub
of investors. T h e g r a n t or de
shall be in accordance with t h e p
(1) of this subsection. I f the Co
t h e registration shall terminate
tive date thereof, unless prior the
ance with such rules and regulation
adopt the application for registrat

" (B) A n y person who is a b
ing as a municipal securities deale
who so acts t h r o u g h a separat
and who so acted in such a manner o
Securities Acts Amendments of 1975,
terms and conditions as the Commiss
sary and appropriate in the public
investors, register such separately
in accordance with this subsection
is so registered, the department o
self shall be t h e broker or deale

" (C) W i t h i n six months
to a broker or dealer, the Commissi
direction of t h e Commission, a re
national securities exchange of wh
ber, shall conduct an inspection o
whether it is operating in conform
and the rules and regulations t h e
the Commission may delay such insp
dealer-s for a period not to excee

15 u s e 78e.

" (3) A n y provision of this t
(a) of this section) which prohibi
business if t h e mails or any mean
commerce is used in connection the
act, practice, or course of busine
or any person acting on behalf of s
of any use of the mails or any mea
commerce in connection therewith.

Suspension or revocation of registration. Notice and hearing.

" (4) The Commission, by order
the activities, functions, or oper
exceeding twelve months, or revoke

dealer if it finds, on the record
ing, t h a t such censure, placing
tion is in the public interest and
prior or subsequent to becoming su
such broker or dealer, whether pri
associated—

" (A) has willfully m
tion for registration or r
Commission under this titl

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mission with respect to registration, any state
the time and in the light of the circumstances
made false or misleading with respect to any ma
omitted to state in any such application or rep
fact which is required to be stated therein.
"(B) has been convicted within ten years pre
of any application for registration or at any
any felony or misdemeanor which the Commission
"(i) involves the purchase or sale of
taking of a false oath, the making of a
perjury, burglary, or conspiracy to comm
"(ii) arises out of the conduct of th
dealer, municipal securities dealer, inv
insurance company, or fiduciary;
"(iii) involves the larceny, theft, r
gery, counterfeiting, fraudulent conceal
fraudulent conversion, or misappropriati
rities ; or
"(iv) involves the violation of secti
1343 or chapter 25 or 47 of title 18, Un
"(C) is permanently or temporarily enjoined
ment, or decree of any court of competent juri
as an investment adviser, underwriter, broker,
pal securities dealer, or as an affiliated per
investment company, bank, or insurance company,
ing in or continuing any conduct or practice i
any such activity, or in connection with the p
any security.
"(D) has willfully violated any provision of
of 1933, the Investment Advisers Act of 1940, t
Company Act of 1940, this title, the rules or
of such statutes, or the rules of the Municipal
making Board, or is unable to comply with any s
" (E) has willfully aided, abetted, counse
induced, or procured the violation by any othe
provision of the Securities Act of 1933, the I
Act of 1940, the Investment Company Act of 194
rules or regulations under any of such statute
the Municipal Securities Rulemaking Board, or
ably to supervise, with a view to preventing v
provisions of such statutes, rules, and regula
who commits such a violation, if such other pe
his supervision. For the purposes of this subpa
person shall be deemed to have failed reasonab
other person, if—
"(i) there have been established proc
for applying such procedures, which woul
expected to prevent and detect, insofar
such violation by such other person, and
"(ii) such person has reasonably disc
and obligations incumbent upon him by re
cedures and system without reasonable ca
such procedures and system were not bein
" (F) is subject to an order of the Commis
suant to paragraph (6) of this subsection ^b) b
pending the right of such person to be associat
or dealer.
"(5) Pending final determination whether any regi
this subsection shall be revoked, the Commission, b

suspend such registration, if such s
mission, after notice and opportunit
appropriate in the public interest o
Any registered broker or dealer may,
tions as the Commission deems necess
interest or for the protection of in
tion by filing a written notice of w
If the Commission finds that any reg
longer in existence or has ceased to
the Commission, by order, shall canc
or dealer.

Notice and hearing.

"(6) The Commission, by order, sh
on the activities or functions of an
become associated, with a broker or
not exceeding twelve months or bar a
associated with a broker or dealer,
record after notice and opportunity
placing of limitations, suspension,
that such person has committed or om
enumerated in subparagraph (A), (D),
this subsection, has been convicted
paragraph (B) of said paragraph (4)
mencement of the proceedings under t
from any action, conduct, or practic
of said paragraph (4). It shall be u
whom such an order suspending or bar
ciated with a broker or dealer is in
be, associated with a broker or deal
Commission, and it shall be unlawful
permit such a person to become, or r
him Avithout the consent of the Comm
knew, or in the exercise of reasonab
such order.

Standards of operational capability.

"(7) No registered broker or deal
in, or induce the purchase or sale o
or dealer meets such standards of op
broker or dealer and all natural per
or dealer meet such standards of tra
and such other qualifications as the
appropriate in the public interest o

Rules and regulations.

The Commission shall establish such
tions, which may—

"(A) specify that all or any
be applicable to any class of b
associated with brokers and dea

"(B) require pereons in any s
in accordance with such rules a
with respect to any class of pa
employees (which latter term ma
rules and regulations and as so
agers of brokers or dealers) en
broker or dealer, include quest
accounting, internal control ov
of employees, maintenance of re
ters; and

"(C) provide that persons in
and dealers and partners, offic
brokers or dealers, may be qual

ance with such standards of training and su
as the Commission finds appropriate.
The Commission, by rule, may prescribe reasonable f
to defray its costs in carrying out this p a r a g
limited to, fees for any test administered by it or
The Commission may cooperate with registered securi
and national securities exchanges in devising and a
and may require registered brokers and dealers and
with such brokers and dealers to pass tests adminis
behalf of any such association or exchange and to p
or exchange reasonable fees or charges to defray th
such association or exchange in administering such
" (8) I n addition to the fees and charges au
(7) of this subsection, each registered broker or
of a registered securities association shall pay to
reasonable fees and charges as may be necessary to
the additional regulatory duties required to be per
mission because such brokei- or dealer eifects tran
otherwise than on a national securities exchange of
ber and is not a member of a registered securities
Commission, by rule, shall establish such fees and
" (9) No broker or dealer subject to p a r a g
shall effect any transaction in, oi; induce the pur
security (otherwise than on a national securities e
is a member) in contravention of such rules and reg
Commission may prescribe designed to promote just a
principles of trade, to remove impediments to and p
nism of a free and open mai'ket and a national mark
in gener-al, to protect investors and the public in
"(10) F o r the purposes of determining whether
to a statutory disqualification under section 6(c
l 7 A (b) (4) (B) of this title, the term 'Comm
(B) of this subsection shall mean 'exchange', 'a
agency', respectively.".
(3) P a r a g r a p h s (1) , (2) , and (3
amended to read as follows:
" (c) (1) No broker or dealer shall make us
means or instrumentality of interstate commerce to
action in, or to induce or attempt to induce the pu
any security (other t h a n commercial paper, banke
commercial bills) otherwise t h a n on a national s
of which it is a member by means of any manipulativ
other fraudulent device or contrivance, and no muni
dealer shall make use of t h e mails or any means o
interstate commerce to effect any transaction in, o
to induce the purchase or sale of, any municipal se
any manipulative, deceptive, or other fraudulent de
T h e Commission shall, for t h e purposes of t h i
and regulations define such devices or contrivance
tive, deceptive, or otherwise fraudulent.
" (2) No broker or dealer shall make use of t h
or instrumentality of interstate commerce to effect
or to induce or attempt to induce the purchase or s
(other than an exempted security or commercial pap
acceptances, or commercial bills) otherwise t h a n
rities exchange of which it is a member, in connec
such broker or dealer engages in any fraudulent, de
ulative act or practice, or makes any fictitious qu
municipal securities dealer shall make use of the m

or instrumentality of interstate co
or to induce or attempt to induce t
security in connection with which s
engages in any fraudulent, deceptiv
or makes any fictitious quotation.
poses of this p a r a g r a p h , b
means reasonably designed to preven
fraudulent, deceptive, or manipulat
fictitious.

" (3) No broker or dealer shal
or instrumentality of interstate co
in, or to induce or attempt to indu
rity (other than an exempted securi
acceptances, or commercial bills) i
regulations as t h e Commission sha
priate in the public interest or fo
safeguards with respect to the fina
practices of brokers and dealers in
acceptance of custody and use of cu
and use of customers' deposits or c
lations shall (A) require the mai
to customer's' deposits or credit b
tember 1,1975, establish minimum fi
for all brokers and dealers.".

15 u s e 78o. (4) P a r a g r a p h (5) of su
as follows:

" (5) No dealer (other than a
securities exchange) acting in the
wise shall make use of the mails or
interstate commerce to effect any t
attempt to induce the purchase or s
exempted security or a municipal s
specified and appropriate standards
Commission, by rule, shall prescri
the public interest and for the pro
fair and orderly markets, or to re
the mechanism of a national market
Commission a dealer in a security
as a broker in t h a t security.".

(5) Subsection (c) thereof is f
end thereof the following new p a

" (6) No broker or dealer sha
or instrumentality of interstate c
or to induce or attempt to induce
(other than an exempted security,
paper, bankers' acceptances, or com
such rules and regulations as the C
sary or appropriate in t h e public
investors or to perfect or remove
the prompt and accurate clearance
tions, with respect to the time an
of documents used in connection wit
ments for transactions in securitie
securities, and closing accounts.
construed (A) to affect the auth

15 u s e 78g. Federal Reserve System, pursuant t
rules and regulations for the purpo
credit for the purchase or carrying
the Commission to prescribe rules o

(6] The section is further amended by adding at
the following new subsection:

"(e) The Commission, by rule, as it deems necess
in the public interest and for the protection of in
equal regulation, may require any member of a natio
exchange not required to register under section 15
person associated with any such member to comply wi
of this title (other than section 15 (a)) or the ru
under which by its terms regulates or prohibits any
course of business by a 'broker or dealer' or 'regi
or a 'person associated with a broker or dealer,' r

SEC. 12. Section 15A of the Securities Exchange A
U.S.C. 78o-3) is amended as follows:

(1) The title thereof is amended to read: "REGIS
ASSOCIATIONS".

(2) Subsections (a) and (b) thereof are amended
follows:

"(a) An association of brokers and dealers may b
national securities association pursuant to subsect
iated securities association pursuant to subsection
and conditions hereinafter provided in this section
with the provisions of section 19(a) of this title,
Commission an application for registration in such
mission, by rule, may prescribe containing the rule
and such other information and documents as the Com
may prescribe as necessary or appropriate in the pu
the protection of investors.

"(b) An association of brokers and dealers shall
as a national securities association unless the Com
that—

"(1) By reason of the number and geographic
of its members and the scope of their transact
will be able to carry out the purposes of this

"(2) Such association is so organized and h
be able to carry out the purposes of this titl
(subject to any rule or order of the Commissi
tion 17(d) or 19(g)(2) of this title) to enfor
its members and persons associated with its me
provisions of this title, the rules and regula
rules of the Municipal Securities Rulemaking B
rules of the association.

"(3) Subject to the provisions of subsectio
the rules of the association provide that any
dealer may become a member of such association
may become associated with a member thereof.

"(4) The rules of the association assure a
of its members in the selection of its directo
of its affairs and provide that one or more di
sentative of issuers and investors and not be
member of the association, broker, or dealer.

"(5) The rules of the association provide f
allocation of reasonable dues, fees, and other
bers and issuers and other persons using any f
which the association operates or controls.

" (6) The rules of the association are desi
ulent and manipulative acts and practices, to
equitable principles of trade, to foster coope
tion with persons engaged in regulating, clear
essing information with respect to, and facilit

in securities, to remove
nism of a free and open m
and, in general, to prote
are not designed to permi
tomers, issuers, brokers,
impose any schedule or fi
counts, or other fees to
by virtue of any authorit
related to the purposes o
association.

" (7) The rules of
rule or order of the Comm
19(g) (2) of this title)
its members shall be appr
provision of this title,
rules of the Municipal Se
of the association, by ex
ties, functions, and oper
barred from being associa
sanction.

Post, pp. 137, 146.

" (8) The rules of
provisions of subsection
vide a fair procedure for
associated with members,
son seeking membership th
becoming associated with
or limitation by the asso
access to services offere

" (9) The rules of
on competition not necess
purposes of this title.

" (10) The requiremen
be applicable, are satisf

" (11) T h e rules of
the form and content of q
otherwise t h a n on a na
distributed or published
a member, and the persons
plied. Such rules relatin
duce fair and informative
misleading quotations, an
collecting, distributing,

15 u s e 78o-3.

(3) T h e section is amended
(g) , (h) , (j) , (k) ,
(i) and (m) thereof as subsectio
amending redesignated subsection

" (e) (1) The rules of a re
t h a t no member thereof shall d
(as defined in p a r a g r a p h
prices, for the same commissions
conditions as are by such member

"Nonmember professional."

" (2) F o r the purposes of t
fessional' shall include (A) wi
other than municipal securities,
not a member of any registered se
broker or dealer who deals exclus
acceptances, and commercial bills
actions in municipal securities,
t h a n a bank or division or dep

of any registered securities association and any mu
broker who is not a member of any such association,
" (3) Nothing in this subsection shall be so
as to prevent (A) any member of a registered secu
from g r a n t i n g to any other member of any reg
ciation any dealer's discount, allowance, commissio
in connection with the purchase or sale of securiti
ber of a registered securities association or any m
dealer which is a bank or a division or department
g r a n t i n g to any member of any registered sec
such municipal securities dealer any dealer's disco
mission, or special terms in connection with the pu
municipal securities: Provided, however, T h a t th
such discount, allowance, commission, or special te
with the purchase or sale of municipal securities s
rules of the Municipal Securities Rulemaking Board
to section 15B (b) (2) (K) of this title.".
(4) The section is further amended by adding a
following new subsections:
" (g) (1) A registered securities associatio
to any person who is not a registered broker or dea
" (2) A registered securities association ma
the Commission, by order, directs as necessary or a
public interest or for the protection of investors
ship to any registered broker or dealer, and bar f
ciated with a member any person, who is subject to
disqualification. A registered securities associat
with the Commission not less t h a n t h i r t y d
registered broker or dealer to membership or permi
to become associated with a member, if the associa
exercise of reasonable care should have known, t h
dealer or person was subject to a statutory disqua
shall be in such form and contain such information
by rule, may prescribe as necessary or appropriate
est or for the protection of investors.
" (3) (A) A registered securities associat
to, or condition the membership of, a registered
(i) such broker or dealer does not meet such sta
responsibility or operational capability or such
or any natural person associated with such broker
meet such standards of training, experience, and
prescribed by the rules of the association or (ii
or person associated with such broker or dealer h
is a reasonable likelihood he will again engage i
inconsistent wnth just and equitable principles o
securities association m a y examine and verify t
an applicant to become a member and the n a t u r
with such an applicant in accordance with procedu
the rules of the association.
" (B) A registered securities association m
from becoming associated with a member or conditi
of a natural person with a member if such natural
meet such standards of training, experience, and
scribed by the rules of the association or (ii)
is a reasonable likelihood he will again engage i
inconsistent with just and equitable principles
securities association may examine and verify the
applicant to become a person associated w^ith a m
with procedures established by the rules of the

a n a t u r a l person associated wi
u r a l persons, to be registered wi
procedures so established.

" (C) A registered securities
becoming associated with a member if
(i) to supply the association with s
its relationship and dealings with t
the rules of the association and (ii
and records to verify the accuracy o

" (4) A registered securities
registered broker or dealer not enga
the rules of the association require
however^ T h a t no registered secur
ship to a registered broker or deale
type of business done by such broker
business in which he is engaged.

Disciplinary proceedings, notice.

" (h) (1) I n any proceeding b
determine whether a member or person
should be disciplined (other t h a n
p a r a g r a p h (3) of this subsec
charges, notify such member or perso

Statement.

to defend against, such charges, and
the association to impose a discipli
by a statement setting forth—

" (A) any act or pract
ciated with a member has bee
such member or person has be

" (B) the specific pro
thereunder, t h e rules of t
Board, or the rules of the a
tice, or omission to act, is

" (C) the sanction imp

Notice and hearing.

" (2) I n any proceeding by a r
determine whether a person shall be
becoming associated with a member, o
respect to access to services offere
thereof (other t h a n a summary pro
(3) of this subsection), the associa
and give him an opportunity to be he
for denial, bar, or prohibition or l
keep a record. A determination by th
bar a person from becoming associate
limit a person with respect to acces
tion or a member thereof shall be su
forth the specific grounds on which
limitation is based.

Summary suspension.

" (3) A registered securities a
pend a member or person associated w
and is expelled or suspended from an
or barred or suspended from being as
self-regulatory organization, (B)
financial or operating difficulty t
so notifies the Commission t h a t t
continue to do business as a member
itors, other members, or the associa
person with respect to access to ser
subparagraph (A) or (B) of this
person or, in the case of a person w

tion determines that such person does not meet the
requirements or other prerequisites for such access
cannot be permitted to continue to have such access
investors, creditors, members, or the association.

by any such summary action shall be promptly afford
tunity for a hearing by the association in accordan
visions of paragraph (1) or (2) of this subsection.
by order, may stay any such summary action on its o
upon application by any person aggrieved thereby, i
sion determines summarily or after notice and oppor
(which hearing may consist solely of the submissio
presentation of oral arguments) that such stay is c
public interest and the protection of investors.".
SEC. 13. The Securities Exchange Act of 1934 is
ing after section 15A (15 IJ.S.C. 78o-3) the follow
"MUNICIPAL SECURITIES

"SEC. 15B. (a) (1) It shall be unlawful for any
dealer (other than one registered as a broker or de
15 of this title) to make use of the mails or any m

tality of interstate commerce to effect any transac
or attempt to induce the purchase or sale of, any m
unless such municipal securities dealer is register
this subsection.
"(2) A municipal securities dealer may be regist
the Commission an application for registration in s
containing such information and documents concernin
pal securities dealer and any persons associated wi
securities dealer as the Commission, by rule, may p
sary or appropriate in the public interest or for t
investors. Within forty-five days of the date of th
cation (or within such longer period as to which th
sents) , the Commission shall—
" (A) by order grant registration, or
"(B) institute proceedings to determine whe
should be denied. Such proceedings shall inclu
grounds for denial under consideration and opp
hearing and shall be concluded within one hund
of the date of the filing of the application f
the conclusion of such proceedings the Commiss
shall grant or deny such registration. The Com
the time for the conclusion of such proceeding
days if it finds good cause for such extension
reasons for so finding or for such longer peri
applicant consents.
The Commission shall grant the registration of a mu
dealer if the Commission finds that the requirement
are satisfied. The Commission shall deny such regis
not make such a finding or if it finds that if the
registered, its registration would be subject to su
tion under subsection (c) of this section.
"(3) Any provision of this title (other than sec
(1) of this subsection) which prohibits any act, p
of business if the mails or any means or instrument
commerce is used in connection therewith shall also
such act, practice, or course of business by any re
securities dealer or any person acting on behalf of

securities dealer, irrespective of
instrumentality of interstate comm

Exemption.

"(4) The Commission, by rule or
upon application, may conditionall
broker, dealer, or municipal secur
ers, or municipal securities deale
or the rules or regulations thereu
such exemption is consistent with
of investors, and the purposes of

Municipal Securities Rulemaking Board. Establishment; membership. Term.

"(b)(1) Not later than one hund
of enactment of the Securities Act
mission shall establish a Municipa
(hereinafter in this section refe
initially of fifteen members appoi

shall perform the duties set forth
bers of the Board shall serve as m
shall consist of (A) five individu
broker, dealer, or municipal secur
shall be representative of investo
least one of whom shall be represe
securities (which members are here
resentatives') ; (B) five individu
resentative of municipal securitie
dealers which are not banks or sub
sions of banks (which members are
dealer representatives'); and (C)
with and representative of municip
banks or subsidiaries or departmen
members are hereinafter referred t
to the expiration of the terms of
Board, an election shall be held
(pursuant to subsection (b) (2) (
to succeed such initial members.

Rules.

" (2) The Board shall propose a
of this title with respect to tran
by brokers, dealers, and municipal
hereinafter collectively referred
The rules of the Board, as a minim

"(A) provide that no muni
securities dealer shall effe
attempt to induce the purcha
unless such municipal securi
dealer meets such standards
municipal securities broker
every natural person associa
broker or municipal securiti
training, experience, compet
the Board finds necessary or
or for the protection of inv
and application of such stan

"(i) appropriately cl
and municipal securitie
matters, including type
other than municipal se
ness organization), and
securities brokers and

" (ii) specify that
be applicable to any su

"(iii) require persons in any such
istered in accordance with subsection
and

"(iv) provide that persons in any
municipal securities brokers and munic
and partners, officers, and superviso
securities brokers or municipal secur
qualified solely on the basis of comp
ards of training and such other quali
finds appropriate.

"(B) establish fair procedures for the no
of members of the Board and assure fair repr
nominations and elections of municipal secur
municipal securities dealers. Such rules sha
membei-ship of the Board shall at all times
among public representatives, broker-dealer
bank representatives, and that the public re
subject to approval by the Commission to ass
them is associated with any broker, dealer,
dealer and that at least one is representati
municipal securities and at least one is rep
municipal securities. Such rules shall also
ber's shall serve and may increase the numbe
shall constitute the whole Board provided th
an odd number.

"(C) be designed to prevent fraudulent an
and practices, to promote just and equitable
to foster cooperation and coordination with
regulating, clearing, settling, processing i
to, and facilitating transactions in municip
impediments to and perfect the mechanism of
market in municipal securities, and, in gene
and the public interest; and not be designed
crimination between customers, issuers, mun
brokers, or municipal securities dealers, to
to impose any schedule or fix rates of comm
discounts, or other fees to be charged by m
broker's or municipal security dealers, to
authority conferred by this title matters n
poses of this title or the securities or th
Board, or to impose any burden or competiti
appropriate in furtherance of the purposes

"(D) if the Board deems appropriate, pro
tion of claims, disputes, and controversies
in municipal securities: Provided^ however^
than a municipal securities broker, municip
person associated with such a municipal sec
municipal securities dealer may be compelled
arbitration except at his instance and in a
29 of this title.

" (E) provide for the periodic examina
subsection (c) (7) of this section of munic
and municipal securities dealers to determi
applicable provisions of this title, the ru
under, and the rules of the Board. Such rul
minimum scope and frequency of such examina
designed to avoid unnecessary regulatory du

R7.1IU n . 77 . IS

regulatory burdens for an
municipal securities deal
" (F) include provis
quotations relating to mu
uted or published by any
securities dealer, or per
securities broker or muni
to whom such quotations m
quotations shall be desig
quotations, to prevent fi
promote orderly procedure
lishing quotations.

Recordkeeping.

"(G) prescribe records
securities brokers and mu
for which such records sh

Ante, p. 97.

" (H) define the ter
division', as that term i
accordance with specified
that a bank is not deemed
and selling municipal sec
department or division un
nized and administered so
and enforcement of applic
and regulations thereunde
rately identifiable depar
engaged in activities oth
securities.

" (I) provide for the
including the selection o
of the Board, the compens
the appointment and compe
and consultants as may be
the Board's functions und

Fees.

" (J) provide that e
municipal securities deal
fees and charges as may b
the costs and expenses of
Such rules shall specify

" (K) establish the
municipal securities deal
securities dealer from se
securities to a municipal
the underwriting period.

" (3) Nothing in this sectio
power of the Commission under

Use of mail or instrumentality of interstate commerce, prohibition.

" (c) (1) No broker, dealer,
use of the mails or any means
merce to effect any transactio

the purchase or sale of, any m
rule of the Board.

Notice and hearing.

"(2) The Commission, by orde
on the activities, functions,
exceeding twelve months, or re
securities dealer, if it finds
for hearing, that such censure
pension, or revocation, is in
pal securities dealer has comm

enumerated in subparagraph (A), (D), or (E) of para
section 15 (b) of this title, has been convicted of
in subparagraph (B) of such paragraph (4) within te
commencement of the proceedings under this paragrap
enjoined from any action, conduct, or practice spec
graph (C) of such paragraph (4).
"(3) Pending final determination whether any reg
this section shall be revoked, the Commission, by o
such registration, if such suspension appears to th

notice and opportunity for hearing, to be necessary
the public interest or for the protection of invest
municipal securities dealer may, upon such terms an
the Commission may deem necessary in the public int
protection of investors, withdraw^ from registratio
notice of withdrawal with the Commission. If the Co
that any registered municipal securities dealer is
ence or has ceased to do business as a municipal se
Commission, by order, shall cancel the registration
securities dealer.
"(4) The Commission, by order, sihall censure a
ated, or seeking to become associated with, a munic
or suspend for a period not exceeding twelve months
person from being associated with a municipal secur
Commission finds, on the record after notice and op
hearing, that such censure, suspension, or bar is i
and that such person has committed or omitted any a
enumerated in subparagraph (A), (D), or (E) of para
section 15(b) of this title, has been convicted of
in subparagraph (B) of such paragraph (4) within te
the commencement of the proceedings under this para
enjoined from any action, conduct, or practice spec
graph (C) of such paragraph (4). It shall be unlaw
as to whom an order entered pursuant to this parag
(5) of this subsection suspending or barring him f
ciated with a municipal securities dealer is in ef
or to be, associated with a municipal securities de
consent of the Commission, and it shall be unlawfu
pal securities dealer to permit such a person to b
person associated with him without the consent of
if such municipal securities dealer knew, or, in t
able care should have known, of such order.
"(5) With respect to any municipal securities d
Commission is not the appropriate regulatory agenc
regulatory agency for such municipal securities de
any such municipal securities dealer in the manner
specified in paragraph (2) of this subsection and
ated with such municipal securities dealer in the
reasons specified in paragraph (4) of this subsect
such appropriate regulatory agency may, in accorda
of the Federal Deposit Insurance Act (12 U.S.C. 18
pliance by such municipal securities dealer or any
with such municipal securities dealer with the pro
tion, section 17 of this title, the rules of the B
Commission pertaining to municipal securities deal
ciated with municipal securities dealers, and tran
securities. For purposes of the preceding sentence
any such provision shall constitute adequate basis
any order under section 8(b) or 8 (c) of the Feder

12 use 1818.

Act, and the customers of any such
be deemed to be 'depositors' as tha
that Act. Nothing in this paragraph
way the powers of such appropriate
against such municipal securities d
law.

Notice.

" (6) (A) The Commission, prior
gation, or commencement of any proc
securities dealer, or person associ
dealer, for which the Commission is
agency, for violation of any provis

Ante, p. 121.

or 15(c) (2) of this title, any rul
or any rule of the board, shall (i)
latory agency for such municipal se
such municipal securities dealer or
pal securities dealer and the natur
action and (iij consult with such a
cerning the enect of such proposed
and the feasibility and desirabilit
any proceeding or proposed proceedi
agency against such municipal secur

(B) The appropriate regulatory
dealer (if other than the Commissio
of investigation, or commencement o
municipal securities dealer or pers
securities dealer, for violation of
rules of the Board, or the rules or
taining to municipal securities dea
pal securities dealers, or transact
(i) give notice to the Commission
securities dealer or person associa
dealer and the nature of and basis
consult with the Commission concern
action on the protection of investo
ity of coordinating such action wit
ceeding by the Commission against s
associated person.

(C) Nothing in this paragraph s
(other than by the requirement of
the Commission or the appropriate r
securities dealer to initiate any a
paragraph or to affect in any way t
such appropriate regulatory agency
suant to this title or any other pr

Tests.

"(7) (A) Tests required pursuant
this section shall be administered
examinations pursuant to subsection
conducted by—

"(i) a registered securitie
securities brokers and munici
bers of such association; and

"(ii) the appropriate regul
securities broker or municipa
other municipal securities br
dealers.

Reports to Commission.

"(B) A registered securities as
examination conducted pursuant to s

Copies.

section and promptly furnish the Co

data supplied to it in connection with such examina
such limitations as the Commission, by rule, determ
or appropriate in the public interest or for the pr
the Commission shall, on request, make available to
of any report of an examination of a municipal secu
municipal securities dealer made by or furnished to
pursuant to this paragraph or section 17(c) (3) of

"(8) The Commission is authorized, by order, if
action is necessary or appropriate in the public in
tection of investors, or otherwise, in furtherance
title, to remove from office or censure any member

Board, who, the Commission finds, on the record aft
opportunity for hearing, has willfully (A) violated
this title, the rules and regulations thereunder, o
Board or (B) abused his authority.

"(d) (1) Neither the Commission nor the Board is
this title, by rule or regulation, to require any i
securities, directly or indirectly through a purcha
purchaser of securities from the issuer, to file wi
the Board prior to the sale of such securities by t
cation, report, or document in connection with the
distribution of such securities.

"(2) The Board is not authorized under this titl
issuer of municipal securities, directly or indirec
pal securities broker or municipal securities deale
furnish to the Board or to a purchaser or a prospec
such securities any application, report, document,
respect to such issuer: Provided^ however., That th
municipal securities brokers and municipal securiti
nish to the Board or purchasers or prospective purc
securities applications, reports, documents, and in
respect to the issuer thereof which is generally av
other than such issuer. Nothing in this paragraph s
to impair or limit the power of the Commission unde
of this title."

S E C 14. Section 17 of the Securities Exchange
U.S.C. 78q) is amended by striking subsection (a),
subsection (b) as subsection (g), and inserting the
sections (a), (b), (c), (d), (e), and (f) :

"(a) (1) Every national securities exchange, mem
or dealer who transacts a business in securities t
of any such member, registered securities associati
broker or dealer, registered municipal securities
securities information processor, registered transf
tered clearing agency and the Municipal Securities
shall make and keep for prescribed periods such rec
copies thereof, and make and disseminate such repor
mission, by rule, prescribes as necessary or approp
interest, for the protection of investors, or other
of the purposes of this title.

"(2) Every registered clearing agency shall also
for prescribed periods such records, furnish such c
make and disseminate such reports, as the appropria
agency for such clearing agency, by rule, prescribe
appropriate for the safeguarding of securities and
tody or control of such clearing agency or for whic

"(3) Every registered transfer agent shall also
prescribed periods such records, furnish such copie

such reports as the appropriate
agent, by rule, prescribes as
Post, p. 141. of the purposes of section 17A
Records, periodic "(b) All records of persons
examination. tion are subject at any time,
periodic, special, or other exa
mission and the appropriate reg
the Commission or the appropria
deems necessary or appropriate
tion of investors, or otherwise
Notice. title: Pro'vided^ JKnoever^ Tha
ducting any such examination of
istered transfer agent, or regi
which it is not the appropriate
appropriate regulatory agency
agent, or municipal securities
and consult with such appropria
the feasibility and desirabilit
examinations conducted by such
a view to avoiding unnecessary
latory burdens for such clearin
securities dealer. Nothing in t
shall be construed to impair or
of prior consultation) the powe
section to examine any clearing
securities dealer or to affect
under any other provision of th
or investigate any such clearin
securities dealer.
"(c) (1) Every clearing agen
rities dealer for which the Com
tory agency shall (A) file with
such clearing agency, transfer
copy of any application, notice
with the Commission by reason o
agent, or municipal securities
a copy of any application, noti
with such appropriate regulator
clearing agency, transfer agent
Municipal Securities Rulemaking
Ante, p. 97. enumerated in section 3(a) (34)
posed rule change filed with th
Post, p. 146. of this title.
"(2) The appropriate regulat
transfer agent, or municipal se
sion is not the appropriate reg
mission notice of the commencem
any order entered by such appro
clearing agency, transfer agent
the Commission shall file with
notice of the commencement of a
order entered by the Commission
fer agent, or municipal securit
Report of "(3) The Commission and the
examination. clearing agency, transfer agent
which the Commission is not the
each notify the other and make
by it of such clearing agency,

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dealer, and, upon request, furnish to the other a c

and any data supplied to it in connection with such

"(d) (1) The Commission, by rule or order, as it
or appropriate in the public interest and for the p
tors, to foster cooperation and coordination among
organizations, or to remove impediments to and fost
ment of a national market system and national syste
ance and settlement of securities transactions, may

" (A) with respect to any person who is a m
pant in more than one self-regulatory organiza
such self-regulatory organization of any respo
title (i) to receive regulatory reports from s
examine such person for compliance, or to enfo
such person, with specified provisions of this
regulations thereunder, and its own rules, or
other specified regulatory functions with resp
and

"(B) allocate among self-regulatory organiz
ity to adopt rules with respect to mattere as
absence of such allocation, such self-regulato
share authority under this title.

In making any such rule or entering any such order,
shall take into consideration the regulatory capabi
of the self-regulatory organizations, availability
of location, unnecessary regulatory duplication, an
as the Commission may consider germane to the prote
cooperation and coordination among self-regulatory
and the development of a national market system and
system for the clearance and settlement of securiti
The Commission, by rule or order, as it deems neces
in the public interest and for the protection of in
any self-regulatory organization relieved of any re
ant to this paragraph, and any person with respect
responsibility relates, to take such steps as are s
rule or order to notify customers of, and persons d
such pereon of the limited nature of such self-regu
tion's responsibility for such person's acts, pract
business.

"(2) A self-regulatory organization shall furnis
report of examination of any person who is a member
ticipant in such self-regulatory organization to an
tory organization of which such person is a member
person is a participant upon the request of such pe
self-regulatory organization, or the Commission.

"(e) (1) (A) Every registered broker or dealer s
with the Commission a balance sheet and income stat
by an independent public accountant, prepared on a
year basis, and such other financial statements (wh
Commission specifies, be certified) and information
financial condition as the Commission, by rule may
sary or appropriate in the public interest or for t
investors.

"(B) Every registered broker and dealer shall an
customers its certified balance sheet and such othe
ments and information concerning its financial cond
mission, by rule, may prescribe pursuant to subsect
section.

Exem]>tion.

"(C) The Commission, by r
unconditionally exempt any re
such brokers or dealers, from
Commission determines that su

public interest and the prote

"(2) The Commission, by ru
in the public interest or for
the form and content of finan
and the accounting principles
preparation.

Missing, lost, counterfeit, or stolen securities, reporting.

"(f) (1) Every national se
tered securities association,
registered transfer agent, re

tlierein, member of the Feder
deposits are insured by the F
shall—

"(A) report to the C
the Commission such inf
or stolen securities, i
mission, by rule, deter
lic interest or for the
shall be available on r
exchange, member, assoc
deader, transfer agent,
the Federal Reserve Sys
sons as the Commission,

"(B) make such inqui
pursuant to this subsec
as necessary or appropr
tection of investors, t
tody or control, for wh
they are effecting, cle
reported as missing, lo

Fingerprints, submittal to Attorney General.

" (2) Every member of a na
registered transfer agent, and
that each of its partners, dir
printed and shall submit such
submitted, to the Attorney Gen

Exemption.

cation and appropriate process
exempt from the provisions of
conditions, and periods, any c
employees of any such member,
clearing agency, if the Commis
sistent with the public intere

National Crime Information Center facilities.

"(3) In order to carry out
(2) above, the Commission or

with the Attorney General to u
Information Center ("NCIC") to
mation in regard to missing, l
to permit direct inquiry acces
the financial community.

Delegation of authority.

"(4) In regard to paragrap
as such paragraphs apply to an
Reserve System, the Commission

"(A) the Comptroller
and banks operating und
Columbia;

"(B) the Federal Res
the Federal Reserve Syst

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bank operating under the Code of Law for the D
bia; and

"(C) the Federal Deposit Insurance Corporati

bank which is insured by the Federal Deposit I
poration but which is not a member of the Fede
System.

"(5) The Commission shall encourage the insurance
require their insured to report expeditiously insta
counterfeit, or stolen securities to the Commission
person as the Commission may, by ru^.e, designate t
information.".

SEC. 15. The Securities Exchange Act of 1934 is
ing after section 17 (15 U.S.C. 78q) the following

" N A T I O N A L S Y S T E M FOR C L E A R A N C
TRANSACTIONS

"SEC. 17A. (a)(1) The Congress finds that—

"(A) The prompt and accurate clearance and
securities transactions, including the transf
and the safeguarding of securities and funds
necessary for the protection of investors and
transactions by and acting on behalf of inves

"(B) Inefficient procedures for clearance
unnecessary costs on investors and persons fa
tions by and acting on behalf of mvesitors.

" (C j New data processing and communicat
create the opportunity for more efficient, ef
cedures for clearance and settlement.

"(D) The linking of all clearance and sett
the development of uniform standards and proc
ance and settlement will reduce unnecessary c
the protection of investors and persons facil
by and acting on behalf of investors.

"(2) The Commission is directed, therefore, havi
the public interest, the protection of investors, t
securities and funds, and maintenance of fair compe
brokers and dealers, clearing agencies, and transfe
authority under this title to facilitate the establ
system for the prompt and accurate clearance and se
actions in securities (other than exempted securiti
with the findings and to carry out the objectives s
graph (1) of this subsection. The Commission shall
under this title to assure equal regulation under t
clearing agencies and registered transfer agents.

"(b)(1) Except as otherwise provided in this se
unlawful for any clearing agency, unless registered
with this subsection, directly or indirectly, to ma
or any means or instrumentality of interstate comme

the functions of a clearing agency with respect to
than an exempted security). The Commission, by rule
its own motion or upon application, may conditional
tionally exempt any clearing agency or security or
ing agencies or securities from any provisions of
rules or regulations thereunder, if the Commission
exemption is consistent with the public interest, t
investors, and the purposes of this section, inclu
accurate clearance and settlement of securities tra
safeguarding of securities and funds. A clearing ag

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agent shall not perform the functio
transfer agent unless such clearing
tered in accordance with this subse
section.

" (2) A clearing agency may be r

ditions hereinafter provided in thi
Post, p. 146. the provisions of section 19 (a)
sion an application for registratio
by rule, may prescribe containing t
such other information and document
may prescribe as necessary or appro
the prompt and accurate clearance a
actions.

Registration requirements. "(3) A clearing agency shall not
sion determines that—

"(A) Such clearing agency
ity to be able to facilitate
settlement of securities tran
safeguard securities and fund
which it is responsible, to c
Ante, p. 137. and the rules and regulatio
Post, p. 146. any rule or order of the Co
19(g)(2) of this title) comp
rules of the clearing agency
section.

"(B) Subject to the provi
section, the rules of the cl
istered broker or dealer, (i
registered investment company
pany, or (vi) other person or
mission, by rule, may from t
to the development of a natio
accurate clearance and settle
become a participant in such

"(C) The rules of the cle
tion of its shareholders (or
tion of its directors and adm
Commission may determine that
pants is fair if they are aff
acquire voting stock of the c
in reasonable proportion to t

"(D) The rules of the cle
allocation of reasonable dues
participants.

" (E) The rules of the
ule of prices, or fix rates
participants.

" (F) The rules of the
the prompt and accurate clea
transactions, to assure the s
which are in the custody or
which it is responsible, to
persons engaged in the clear
actions, to remove impediment
a national system for the pr
tlement of securities transac
investors and the f)ublic in
unfair discrimination in the

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participants in the use of the clearing agency
virtue of any authority conferred by this titl
to the purposes of this section or the adminis
ing agency.

"(G) The rules of the clearing agency provi
to any rule or order of the Commission pursuan
or 19(g) (2) of this title) its participants s

disciplined for violation of any provision of
ing agency by expulsion, suspension, limitatio
tions, and operations, fine, censure, or any o
" (H) The rules of the clearing agency ar
the provis'ons of paragraph (5) of this subsec
provide a fair procedure with respect to the d
ticipants, the denial of participation to any
ticipation therein, and the prohibition or lim
clearing agency of any person with respect to
offered by the clearing agency.
" (I) The rules of the clearing agency do
den on competition not necessary or appropriat
of the purposes of this title.

"(4) (A) A registered clearing agency may, and i
the Commission, by order, directs as appropriate in
shall, deny participation to any person subject to
qualification. A registered clearing agency shall f
Commission not less than thirty days prior to admit
to participation, if the clearing agency knew, or i
reasonable care should have known, that such person
a statutory disqualification. The notice shall be i
contain such information as the Commission, by rule
as necessary or appropriate in the public interest
of investors.

"(B) A registered clearing agency may deny parti
condition the participation of, any person if such
meet such standards of financial responsibility, op
bility, experience, and competence as are prescribe
the clearing agency. A registered clearing agency m
verify the qualifications of an applicant to be a p
ance with procedures established by the rules of th

"(5) (A) In any proceeding by a registered cleari
determine whether a participant should be disciplin
a summary proceeding pursuant to subparagraph (C) o
graph), the clearing agency shall bring specific ch
participant of, and give him an opportunity to defe
charges, and keep a record. A determination by the
to impose a disciplinary sanction shall be supporte
setting forth—
"(i) any act or practice in which such part
found to have engaged, or which such participa
to have omitted;
"(ii) the specific provisions of the rules
which any such act or practice, or omission to
violate; and
"(iii) the sanction imposed and the reasons

"(B) In any proceeding by a registered clearing a
mine whether a person shall be denied participation
limited with respect to access to services offered
agency, the clearing agency shall notify such perso
an opportunity to be heard upon, the specific groun

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prohibition or limitation under
determination by the clearing a
hibit or limit a person with re
the clearing agency shall be su
the specific grounds on which t
is based.

Summary suspension.

"(C) A registered clearing a
close the accounts of a partici
or suspended from any self-regu

of any delivery of funds or sec
is in such financial or operati
determines and so notifies the
participant that such suspensio
sary for the protection of the
Hearing. creditors, or investors. A part
be promptly afforded an opportu
agency in accordance with the p
Stay of this paragraph. The appropriate
suspension. ticipant, by order, may stay an
motion or upon application by a
appropriate regulatory agency d
and opportunity for hearing (wh
the submission of affidavits or
such stay is consistent with th
investors.

" (6) No registered clearing
any person to services offered b

Use of mails or "(c)(1) Except as otherwise
instrumentality of unlawful for any transfer agent,
interstate this section, directly or indire
commerce,
prohibition. means or instrumentality of inte
15 use 78/. tion of a transfer agent with re
section 12 of this title or whic
except for the exemption from re
(g) (2) (B) or (g) (2) (G) of t
agency, by rule or order, upon i
may conditionally or uncondition
or class of persons or securitie
any rule or regulation prescribe
regulatory agency finds (A) that
interest and consistent with the
poses of this section, including
settlement of securities transac
and funds, and (B) the Commissio

Transfer agents "(2) A transfer agent may be
registration. priate regulatory agency for suc
registration in such form and co
ments concerning such transfer a
agency may prescribe as necessar
purposes of this section. Except
tion shall become effective thir
by such appropriate regulatory a
of time as such appropriate regu

Denial. "(3) (A) The appropriate regu
Notice and by order, shall deny registratio
hearing. activities, functions, or operat
ing twelve months, or revoke the
if such appropriate regulatory a

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and opportunity for hearing, that such denial, cens
limitations, suspension, or revocation is in the pu
such transfer agent has willfully violated or is un
any provision of this section or section 17 of this
regulations thereunder.

"(B) Pending final determination whether any re
transfer agent under this subsection shall be deni
regulatory agency for such transfer agent, by orde
the effective date of such registi-ation for a peri

days, but if, after notice and opportunity for hear
consist solely of affidavits and oral arguments), i
appropriate regulatory agency to be necessary or a
public interest or for the protection of in\ ostor
tive date of such registration until final determi
priate regulatory agency shall so order. Pending f
whether any registration under this subsection sha
appropriate regulatory agency, by order, may suspe
tion, if such suspension appears to such appropria
after notice and opportunity for hearing, to be ne
priate in the public interest or for the protectio

"(C) A registered transfer agent may, upon suc
ditions as the appropriate regulatory agency for s
deems necessary or appropriate in the public inter
tion of investors, or in furtherance of the purpo
withdraw from registration by filing a written not
with such appropriate regulatory agency. If such a
tory agency finds that any transfer agent for whic
priate regulatory agency, is no longer in existenc
business as a transfer agent, such appropriate reg
order, shall cancel or deny the registration.

"(d) (1) No registered clearing agency or regis
shall, directly or indirectly, engage in any acti
or transfer a^ent in contravention of such rules
as the Commission may prescribe as necessary or a
public interest, for the protection of investors,
ance of the purposes of this title, or (B) as the
agency for such clearing agency or transfer agent
necessary or appropriate for the safeguarding of

" (2) With respect to any clearing agency or t
the Commission is not the appropriate regulatory
priate regulatory agency for such clearing agency
may, in accordance with section 8 of the Federal
(12 U.S.C. 1818), enforce compliance by such clea
fer agent with the provisions of this section, se
title, and the rules and regulations thereunder.
preceding sentence, any violation of any such pro
tute adequate basis for the issuance of an order
8(c) of the Federal Deposit Insurance Act, and th
any such clearing agency and the persons doing bu
such transfer agent shall be deemed to be 'deposi
used in section 8 (c) of that Act.

"(3) (A) With respect to any clearing agency o
which the Commission is not the appropriate regul
Commission and the appropriate regulatory agency
agency or transfer agent shall consult and cooper
and, as may be appropriate, with State banking au
supervision over such clearing agency or transfer
that, to the maximum extent practicable, theiir r

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responsibilities may be fulfill
cable to such clearing agency o
with both sound banking practic
prompt and accurate clearance a
tions. I n accordance with this

"(i) the Commission and
shall, at least fifteen d
ment of any proposed rule
or regulation concerning
consult and request the v

"(ii) such appropriate
responsibility to examine
agency or transfer agent
Ante, p. 137. tions 17 and 19 of this
^'ifra. " (B) Nothing in the prece
title shall be construed to imp
ment of notification) the Commi
any provision of this title or
provision of this title by any
provisions of this title and th
" (4) Nothing in this sectio
ity of any State banking author
latory authority having jurisdi
ing agency or transfer agent to
person which are not inconsiste
regulations thereunder.
"(e) The Commission shall us
the physical movement of securi
settlement among brokers and de
summated by means of the mails
of interstate commerce.".
SEC. 16. Section 19 of the S
U.S.C. 78s) is amended to read
'REGISTRATION, RESPONSIBILITIE
ORGA

Notice of filing. "SEC. 19. (a) (1) The Commis
cation for registration as a na
securities association, or regi
Ante, pp. 104, tion 6, 15A, or 17A of this tit
127, 141. filing and afford interested pe
data, views, and arguments conc
days of the date of publication
period as to which the applican
" (A) by order grant su
Notice and "(B) institute proceedi
hearing. should be denied. Such pr
grounds for denial under c
ing and shall be conclude
date of a publication of
registration. At the conc
Extension. sion, by order, shall gra
sion may extend the time
up to ninety days if it f
publishes its reasons for
which the applicant conse
The Commission shall grant such
requirements of this title and

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with respect to the applicant are satisfied. The Co
•such registration if it does not make such finding
"(2) With respect to an application for registra
clearing agency for which the Commission is not the
regulatory agency—
"(A) The Commission shall not grant regis
the sixtieth day after the date of publicatio
of such application unless the appropriate re
such clearing agency has notified the Commiss
priate regulatory agency's determination that
agency is so organized and has the capacity t
guard securities and funds in its custody or

it is responsible and that the rules of such
designed to assure the safeguarding of such s
"(B) The Commission shall institute proce
ance with paragraph (1) (B) of this subsectio
whether registration should be denied if the
tory agency for such clearing agency notifies
within sixty days of the date of publication
of such application of such appropriate regul
determination that such clearing agency may n
or have the capacity to be able to safeguard
in its custody or control or for which it is
the rules of such clearing agency may not be
the safeguarding of such securities and funds
for such determination.
"(C) The Commission shall deny registrati
regulatory agency for such clearing agency n
mission prior to the conclusion of proceedin
accordance with paragraph (1) (B) of this sub
appropriate regulatory agency's (i) determin
ing agency is not so organized or does not h
able to safeguard securities or funds in its
for which it is responsible or that the rul
agency are not designed to assure the safegu
securities or funds and (ii) reasons for suc
"(3) A self-regulatory organization may, upon su
conditions as the Commission, by rule, deems necess
in the public interest or for the protection of in
registration by filing a written notice of withdra
mission. If the Commission finds that any self-reg
tion is no longer in existence or has ceased to do
specified in its application for registration, the
order, shall cancel its registration. Upon the with
securities association from registration or the ca
sion, or revocation of the registration of a nation
tion, the registration of any association affiliate
automatically terminate,
"(b) (1) Each self-regulatory organization shall
mission, in accordance with such rules as the Commi
scribe, copies of any proposed rule or any propose
to, or deletion from the rules of such self-regulat
(hereinafter in this subsection collectively refer
rule change') accompanied by a concise general stat
and purpose of such proposed rule change. The Commi
upon the filing of any proposed rule change, publis
together with the terms of substance of the propose
a description of the subjects and issues involved.

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shall give interested persons an opp
views, and arguments concerning such
posed rule change shall take effect
or otherwise permitted in accordance
subsection.
"(2) Within thirty-five days of
the filing of a proposed rule change
(1) of this subsection, or within s
may designate up to ninety days of s
period to be appropriate and publish
to which the self-regulatory organiz
shall—
" (A) by order approve such
"(B) institute proceedings

Notice and hearing.

rule change should be disappr
notice of the grounds for dis
opportunity for hearing and b
eighty days of the date of pu
proposed rule change. At the
Commission, by order, shall a
posed rule change. The Commis
clusion of such proceedings f
cause for such extension and
or for such longer period as
nization consents.

Approval.

The Commission shall approve a prop
regulatory organization if it finds
consistent witli the requirements o

Disapproval.

tions thereunder applicable to such
shall disapprove a proposed rule ch
zation if it does not make such fin
approve any proposed rule change pr
date of publication of notice of th
sion finds good cause for so doing
finding.

"(3) (A) Notwithstanding the pr
subsection, a proposed rule change
the Commission if designated by the
(i) constituting a stated policy,
to the meaning, administration, or
the self-regulatory organization,
fee, or other charge imposed by th
(iii) concerned solely with the ad
organization or other matters whic
ent with the public interest and t
specify as without the provisions

"(B) Notwithstanding any other
proposed rule change may be put in
the Commission that such action is
investors, the maintenance of fair
guarding of securities or funds. A
effect shall be filed promptly the
sions of paragraph (1) of this sub

"(C) Any proposed rule change o
which has taken effect pursuant to
paragraph may be enforced by such
inconsistent with the provisions
thereunder, and applicable Federa
sixty days of the date of filing

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accordance with the provisions of paragraph (1) of
the Commission summarily may abrogate the change in
self-regulatory organization made thereby and requi
posed rule change be refiled in accordance with the
paragraph (1) of this subsection and reviewed in ac
provisions of paragraph (2) of this subsection, if
Commission that such action is necessary or appropr
interest, for the protection of investors, or other
of the purposes of this title. Commission action pu
ceding sentence shall not affect the validity or fo
during the period it was in effect and shall not be
section 25 of this title nor deemed to be 'final ag
poses of section 704 of title 5, United States Code

"(4) With respect to a proposed rule change file
clearing agency for w^hich the Commission is not th

regulatory agency—•

"(A) The Commission shall not approve any s
rule change prior to the thirtieth day after t
of notice of the filing thereof unless the app
agency for such clearing agency has notified t
such appropriate regulatory agency's determina
posed rule change is consistent with the safeg
and funds in the custody or control of such cl
which it is responsible.

"(B) The Commission shall institute proceed
with paragraph (2) (B) of this subsection to d
any such proposed rule change should be disap
appropriate regulatory agency for such clearin
the Commission within thirty days of the date
notice of the filing of the proposed rule chan
priate regulatory agency's (i) determination t
rule change may be inconsistent with the safeg
rities or funds in the custody or control of s
or for which it is responsible and (ii) reaso
determination.

"(C) The Commission shall disapprove any su
change if the appropriate regulatory agency fo
agency notifies the Commission prior to the co
ceedings instituted in accordance with paragra
subsection of such appropiiate i-egulatory ag
mination that the proposed rule change is inco
safeguarding of securities or funds in the cus
such clearing agency or for which it is respon
sons for such determination.

"(D) The Commission shall abrogate any chan
of such a clearing agency made by a proposed r
has taken effect pursuant to paragraph (3) of
require that the proposed rule change be refil
with the provisions of paragraph (1) of this s
reviewed in accordance 'with the provisions of
this subsection, if the appropriate regulatory
clearing agency notifies the Commission within
date of filing of such proposed rule change of
regulatory agency's (i) determination that the
ing agency as so changed may be inconsistent w
ing of securities or funds in the custody or c
agency or for which it is responsible and (ii
determination.

S7.104 n - 77 - 14

"(c) The Commission, by rul
from (hereinafter in this subs
the rules of a self-regulatoiy
clearing agency) as the Commis
to insure the fair administrat
to conform its rules to requir
regulations thereunder applica
in furtherance of the purposes

Publication in Federal Register.

"(1) The Commission sh
zation and publish notice
eral Register. The notice
amendment to the rules of

statement of the Commissi
facts, for commencing suc
"(2) The Commission sh
tunity for the oral prese
addition to an opportunit
script shall be kept of a
"(3) A rule adopted pu
porate the text of the am
organization and a statem
purpose in so amending su
an identification of any
its determination so to a
agency to be based, inclu
conclusions as to any of
making.
"(4) (A) Except as pro
of this subsection, rulem
accordance with the proce
United States Code, for r
"(B) Nothing in this s
or limit the Commission's
the procedures the Commis
regulations pursuant to a
"(C) Any amendment to
zation made by the Commis
be considered for all pur
of such self-regulatory o
to be a rule of the Commi

Self-regulatory organizations, final disciplinary sanction, notice.

"(d) (1) If any self-regula
ciplinary sanction on any memb
membership or participation to

any person in respect to acces
or member thereof or if any se
a registered clearing agency)
on any person associated with
becoming associated with a mem
shall promptly file notice the
agency for the self-regulatory
appropriate regulatory agency
the appropriate regulatory age
cant, or other person. The not
such information as the approp
regulatory organization, by ru
appropriate in furtherance of
"(2) Any action with respec
tion is required by paragraph

---

be subject to review by the appropriate regulatory
member, participant, applicant, or other person, on
or upon application by any person aggrieved thereby
thirty days after the date such notice was filed wi
regulatory agency and received by such aggrieved p
such longer period as such appropriate regulatory a
mine. Application to such appropriate regulatory ag
or the institution of review by such appropriate re
its own motion, shall not operate as a stay of suc
appropriate regulatory agency otherwise orders, sum
notice and opportunity for hearing on the question
hearing may consist solely of the submission of aff
tion of oral arguments). Each appropriate regulator

establish for appropriate cases an expedited proced
tion and determination of the question of a stay.

"(e) (1) In any proceeding to review a final di
imposed by a self-regulatory organization on a memb
ticipant therein or a person associated with such a
notice and opportunity for hearing (which hearing m
of consideration of the record before the self-regu
tion and opportunity for the presentation of suppor
affirm, modify, or set aside the sanction) —

"(A) if the appropriate regulatory agency
participant, or person associated with a memb
member, participant, or person associated wit
engaged in such acts or practices, or has omi
self-regulatory organization has found him to
omitted, that such acts or practices, or omis
violation of such provisions of this title, t
thereunder, the rules of the self-regulatory
the case of a registered securities associati
Municipal Securities Rulemaking Board as have
the determination of the self-regulatory orga
such provisions are, and were applied in a ma
the purposes of this title, such apropriate r
order, shall so declare and, as appropriate,
imposed by the self-regulatory organization,
in accordance with paragraph (2) of this subs
to the self-regulatory organization for furth

"(B) if such appropriate regulatory agency
such finding it shall, by order, set aside th
the self-regulatory organization and, if appr
the self-regulatory organization for further

"(2) If the appropriate regulatory agency for a
pant, or person associated with a member, having du
public interest and the protection of investors, fi
in accordance with paragraph (1) of this subsection
imposed by a self-regulatory organization upon such
pant, or person associated with a member imposes an
petition not necessary or appropriate in furtheranc
this title or is excessive or oppressive, the appro
agency may cancel, reduce, or require the remission

"(f) In any proceeding to review the denial of m
ticipation in a self-regulatory organization to any
ring of any person from becoming associated with a
self-regulatory organization, or the prohibition or
regulatory organization of any person with respect
offered by the self-regulatory organization or any

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the appropriate regulatory agency f
notice and opportunity for hearing
of consideration of the record befo
and opportunity for the presentatio
the proceeding or set aside the act
tion) finds t h a t the specific gr
hibition or limitation is based exi
prohibition or limitation is in acc
regulatory organization, and t h a
a manner, consistent with the purpo
regulatory agency, by order, shall
appropriate regulatory agency does
if it finds t h a t such denial, ba
any burden on competition not nece

of the purposes of this title, such
order, shall set aside the action o
and require it to admit such applic
permit such person to become associ
person access to services offered b
member thereof.

" (g) (1) Every self-regulator
provisions of t h i s title, the ru
Ante, p. 137. own rules, and (subject to the prov
p a r a g r a p h (2) of this subse
reasonable justification or excuse

" (A) in the case of
provisions by its members a
members;

" (B) in the case of
provisions and t h e provis
rities Kulemaking Board by i
with its members; and

" (C) in the case of a
rules by its participants,

" (2) T h e Commission, by rul
the protection of investors, and th
relieve any self-regulatory organiz
this title to enforce compliance wi
title or the rules or regulations t
organization or person associated w
such members or persons associated

Registration, suspension or revocation.

" (h) (1) T h e a p p r o p
organization is authorized, by orde
necessary or appropriate in the pub
investors, or otherwise in furthera
suspend for a period not exceeding
tration of such self-regulatory org
limitations upon the activities, fu
regulatory organization, if such ap

Notice and hearing.

on the record after notice and oppo
regulatory organization has violate
provision of this title, the rules
rules or without reasonable justifi
compliance—

" (A) in the case of a
such provision by a member t
member thereof;

" (B) in the case of a
such provision or any provis

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Securities Rulemaking B o a r d by a member
associated with a member thereof; or

" (C) in the case of a registered clear
vision of its own rules by a participant the

" (2) T h e a p p r o p r i a t e regulatory a
nization is authorized, by order, if in its opinion
or appropriate in the public interest, for the prot
or otherwise in furtherance of t h e purposes of th
for a period not exceeding twelve months or expel f
regulatory organization any member thereof or parti
such member or participant is subject to an order o
pursuant to section 15 (b) (4) of this title or if
tory agency finds, on t h e record after notice and
hearing, t h a t such member or participant has wil

effected any transaction for any other person who,
participant h a d reason to believe, was violating
transaction—

" (A) in the case of a national securitie
of the Securities Act of 1933, the Investmen
the Investment Company Act of 1940, this tit
regulations under any of such statutes;

" (B) in t h e case of a registered sec
vision of the Securities Act of 1933, the In
of 1940, the Investment Company Act of 1940,
or regulations under any of such statutes, o
Municipal Securities Rulemaking B o a r d ;

" (C) in the case of a registered clear
of the rules of the clearing agency.

" (3) The appropriate regulatory agency for a
exchange or registered securities association is au
in its opinion such action is necessary or appropri
interest, for the protection of investors, or other
the purposes of this title, to suspend for a period
months or to bar any person from being associated w
such national securities exchange or registered sec
such person is subject to an order of the Commissio
15(b) (6) or if such appropriate regulatory agency
after notice and opportunity for hearing, t h a t s
violated or has effected any transaction for any ot
person associated with a member had reason to belie
with respect to such transaction—

" (A) in the case of a national securitie
of the Securities Act of 1933, the Investmen
the Investment Company Act of 1940, this tit
regulations under any of such statutes; or

" (B) in the case of a registered secur
vision of t h e Securities Act of 1933, the
of 1940, the Investment Company Act of 1940,
or regulations under any of the statutes, or
pal Securities Rulemaking Board.

" (4) T h e appropriate regulatory agency for a
nization is authorized, by order, if in its opinion
sary or appropriate in the public interest, for the
investors, or otherwise in furtherance of the purpo
remove from office or censure any officer or direct
regulatory organization, if such appropriate regula
on the record after notice and opportunity for hear
or director has willfully violated any provision of

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or regulations thereunder, or the
nization, willfully abused his au
cation or excuse has failed to en

"(A) in the case of a n
such provision by any memb
member;

"(B) in the case of a r
such provision or any prov
Securities Rulemaking Boar
with a member; or

"(C) in the case of a r
sion of the rules of the c

"(i) If a proceeding under sub
in the suspension or revocation o
the appropriate regulatory agency
notice to such clearing agency, a

Infra.
15 u s e 78aa.

diction specified in section 21(d
ment of a trustee. In the event o
to the extent it deems necessary
diction of such clearing agency a
wherever located; and the court s
latory agency for such clearing a
appropriate regulatory agency as
and continue to operate or termin
agency in an orderly manner for t
investors, subject to such terms
prescribe.".

Investigations.

SEO. 17. Section 21 of the Sec
U.S.C. 78u) is amended as follows
(1) Subsection (a) thereof is
"(a) The Commission may, in it
tions as it deems necessary to de
lated, is violating, or is about
rules or regulations thereunder,
exchange or registered securities
member or a person associated wit
clearing agency in which such per
the Municipal Securities Rulemaki
mit any person to file with it a
otherwise as the Commission shall
circumstances concerning the matt
mission is authorized in its disc
cerning any such violations, and
practices, or matters which it ma
the enforcement of such provision
regulations under this title, or
basis for recommending further le
which this title relates.".

Civil actions.

(2) Subsections (e) and (f) t
respectively, and amended to read
' (d) Wherever it shall appe
is engaged or is about to engage
violation of any provision of thi
under, the rules of a national se
ties association of which such pe
with a member, the rules of a reg
person is a participant, or the r

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making Board, it may in its discretion bring an act
district court of the United States, the United Sta
for the District of Columbia, or the United States
tory or other place subject to the jurisdiction of
enjoin such acts or practices, and upon a proper sh
or temporary injunction or restraining order shall
bond. The Commission may transmit such evidence as
able concerning such acts or practices as may const
any provision of this title or the rules or regulat
the Attorney General, who may, in his discretion, i
sary criminal proceedings under this title.

"(e) Upon application of the Commission the dist
United States, the United States District Court for
Columbia, and the United States courts of any terri
place subject to the jurisdiction of the United Sta
diction to issue writs of mandamus, injunctions, an
ing (1) any person to comply with the provisions of
rules, regulations, and orders thereunder, the rule
rities exchange or registered securities associatio

is a member or person associated with a member, the
registered clearing agency in which such person is
rules of the Municipal Securities Rulemaking Board,
taking contained in a registration statement as pro
tion (d) of section 15 of this title, (2) any natio
or registered securities association to enforce com
members and persons associated with its members wit
of this title, the rules, regulations, and orders t
of such exchange or association, or (3) any registe
to enforce compliance by its participants with the
rules of such clearing agency.".

(3) The section is further amended by adding at
the following new subsections:

"(f) Notwithstanding any other provision of this
mission shall not bring any action pursuant to subs
of this section against any person for violation of
compliance with, the rules of a self-regulatory org
appears to the Commission that (1) such self-regula
is unable or unwilling to take appropriate action a
in the public interest and for the protection of in
action is otherwise necessary or appropriate in the
for the protection of investors.

"(g) Notwithstanding the provisions of section 1
United States Code, or any other provision of law,
table relief instituted by the Commission pursuant
laws shall be consolidated or coordinated with othe
brought by the Commission, even though such other a
involve common questions of fact, unless such conso
sented to by the Commission. The term 'securities l
includes the Securities Act of 1933 (15 U.S.C. 77 e
Exchange Act of 1934 (15 U.S.C. 78a et seq.), the P
ing Company Act of 1935 (15 U.S.C. 79a et seq.), th
Act of 1939 (15 U.S.C. 77aaa et seq.), the Investme
1940 (15 U.S.C. 80a-l et seq15 U.S.C. 80a-l et seq1
(15 U.S.C. 80b-l et seq15 U.S.C. 80b-l et seq15 U.
Act of 1970 (15 U.S.C. 78aaa et seq.).".

SEC. 18. Section 23 of the Securities Exchange A
U.S.C. 78w) is amended to read as follows:

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RULES, REGULATIONS, AND

"SEC. 23. (a) (1) The Commis
Federal Eeserve System, and the
Ante, p. 97. 3(a) (34) of this title shall
regulations as may be necessary
visions of this title for which
of the functions vested in them
poses classify persons, securiti
reports, and other matters withi
prescribe greater, lesser, or di
thereof. No provision of this ti
any act done or omitted in good
lation, or order of the Commissi
Federal Reserve System, other ag
of this title, any self-regulato
such rule, regulation, or order
or determined by judicial or oth
reason.

"(2) The Commission, in maki
to any provisions of this title,
impact any such rule or regulati

Commission shall not adopt any s
impose a burden on competition n
therance of the purposes of this
in the statement of basis and pu
regulation adopted under this ti
determination that any burden on
or regulation is necessary or ap
of this title.

"(3) The Commission, in maki
to any provision of this title,

Ante, p. 146.

tion in accordance with sectio
proposed rule change of a self-r
with section 19 (b) of this titl
for copying all written statemen
written communications between t
relating to the proposed rule, r
change; Provided, however, That
to keep in a public file or make
statement or communication which
accordance with the provisions o
Code.

Annual report to Congress.

"(b) (1) The Commission, the
Reserve System, and the other ag
of this title, shall each make a
work for the preceding year, and
whatever information, data, and
legislation it considers advisab
respective jurisdiction under th

" (2) The appropriate regula
nization shall include in its an
fiscal year, a summary of its ov
respect to such self-regulatory
of any examination condiicted as
organization, any material recom
activities to such organization
and any action by such organiza
recommendation.

" (3) The appropriate regulatory agency for any
securities dealers shall include in its annual repo
for each fiscal year a summary of its regulatory ac
this title with respect to such municipal securitie
the nature of and reason for any sanction imposed p
title against any such municipal securities dealer.

"(4) The Commission shall also include in its an
Congress for each fiscal year—

"(A) a summary of the Commission's oversig
respect to self-regulatory organizations for
appropriate regulatory agency, including a de
examination of any such organization, any mat
tion presented to any such organization for c
nization or rules, and any action by any such
response to any such recommendations;

"(B) a statement and analysis of the expen
of each self-regulatory organization in conne
formance of its responsibilities under this t
purpose data pertaining to such expenses and
be made available by such organization to the
request;

"(C) beginning in 1975 and ending in 1980,

and recommendations with respect to the devel
national system for the prompt and accurate c
ment of securities transactions, including a
latory activities, operational capabilities,
plans of self-regulatory organizations and re
agents with respect thereto;

"(D) beginning in 1975 and ending in 1980,
the steps taken, and an evaluation of the pro
the establishment of a national market system
tions for further legislation it considers ad
to such system;

" (E) the steps the Commission has taken
has made toward ending the physical movement
certificate in connection with the settlement
actions, and its recommendations, if any, for
inate the securities certificate;

" (F) The number of requests for exempti
of this title received, the number granted, a
which any such exemption was granted:

"(G) a summary of the Commission s regulat
respect to municipal securities dealers for w
appropriate regulatory agency, including the
for, any sanction imposed in proceedings agai
securities dealers;

" (H) beginning in 1975 and ending in 19
effect the absence of any schedule or fixed r
allowances, discounts, or other fees to be ch
effecting transactions on a national securiti
on the maintenance of fair and orderly market
ment of a national market system for securiti

" (I) a statement of the time elapsed be
reports pursuant to section 13 (f) of this ti
ability of the information contained therein,
in the Commission's processing of such report
such information, the manner in which the Com
information, and the steps the Commission has

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progress it has made toward
such information to be made
language;

" (J) information conc
lations are having on the v
(ii) its attempts to reduce
such brokers and dealers; a
continued participation of
States securities m a r k e

" (K) a statement deta
of Information Act, section
including a copy of the rep
of such section.

•'(c) T h e Connnission, by ru
cable to every case p u r s u a n
in section 551 of title 5, United
mined on the record after notice
rules shall, as a minimum, provid
of any adverse action or final di
the entry of any order shall be a
ten reasons.".

SEC. 19. Section 24 of the Sec
U.S.C. 78x) is amended to read as

"PUBLIC AVAILABI

"Records." " S E C . 24. (a) F o r purpose
Code, the term 'records' includes
contracts, correspondence, notice
otherwise obtained by the Commiss
wise.
" (b) I t shall be unlawful f
the Commission to disclose to any
or employee of the Commission, or
information contained in any appl
correspondence, notice, or other
obtained by the Commission (1) in
ulations of the Commission under
Code, or (2) in circumstances whe
pursuant to such rules to accord
mation. Nothing in this subsectio
Avithhold information from the Co
SEC. 20. Section 25 of the Secu
U.S.C. 78y) is amended to read as

COURT REVIEW OF

" S E C . 25. (a) (1) A person
mission entered p u r s u a n t t
in the United States Court of App
I'esides or has his principal pla
Columbia Circuit, by filing in su
entry of the order, a written pet
modified or set aside in whole or
Petition, copy. " (2) A copy of t h e petiti
clerk of the court to a member of
nated by the Commission for t h a
shall file in t h e court the rec

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is entered, as provided in section 2112 of title 28
and the Federal Rules of Appellate Procedure.
"(3) On the filing of the petition, the court ha
becomes exclusive on the filing of the record, to a
enforce or to set aside the order in whole or in pa
" (4) The findings of the Commission as to the f
substantial evidence, are conclusive.
"(5) If either party applies to the court for le
tional evidence and shows to the satisfaction of th
tional evidence is material and that there was reas
failure to adduce it before the Commission, the cou
case to the Commission for further proceedings, in
and on whatever conditions the court considers appr
is remanded to the Commission, it shall file in the
record containing any new evidence, any further or
and any new order.
"(b) (1) A person adversely affected by a rule o
promulgated pursuant to section 6,11, l l A , 15(c)
17A, or 19 of this title may obtain review of this
States Court of Appeals for the circuit in which he
principal place of business or for the District of

filing in such court, within sixty days after the p
rule, a written petition requesting that the rule b
"(2) A copy of the petition shall be transmitte

clerk of the court to a member of the Commission or
nated for that purpose. Thereupon, the Commission s
court the rule under review and any documents refer
the Commission's notice of proposed rulemaking and
referred to therein, all written submissions and th
oral presentations in the rulemaking, factual infor
in the foregoing that was considered by the Commiss
gation of the rule or proffered by the Commission a
rule, the report of any advisory committee received
the Commission in the rulemaking, and any other mat
by the court.

"(3) On the filing of the petition, the court h
becomes exclusive on the filing of the materials se
(2) of this subsection, to affirm and enforce or t

"(4) The findings of the Commission as to the f
the Commission as the basis, in whole or in part, o
ported by substantial evidence, are conclusive. The
and enforce the rule unless the Commission's action
the rule is found to be arbitrary, capricious, an a
otherwise not in accordance with law; contrary to c
power, privilege, or immunity; in excess of statuto
authority, or limitations, or short of statutory ri
ance of procedure required by law.

"(5) If proceedings have been instituted under t
two or more courts of appeals with respect to the s
mission shall file the materials set forth in parag
section in that court in which a proceeding was fir
other courts shall thereupon transfer all such proc
in which the materials have been filed. For the con
parties in the interest of justice that court may t
the proceedings to any other court of appeals.

"(c) (1) No objection to an order or rule of the
which review is sought under this section, may be c
court unless it was urged before the Commission or
able ground for failure to do so.

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"(2) The filing of a petition un
stay of the Commission's order or r
becomes exclusive, the Commission m
judicial review if it finds that ju
petition under this section, the co
required and to the extent necessar
may issue all necessary and appropr
rule or to preserve status or right
standing section 705 of title 5, Un
may be issued by the court before t
rials set forth in subsection (b)(2
Commission has denied a stay or fai
a reasonable period has expired sin
stay without a decision by the Comm
able ground for failure to apply to

" (3) When the same order or rul
tions for review filed under this s
filed in a district court of the Un
Ante, p. 154. of this title, that court in w^hi
has jurisdiction w'ith respect to t
any other court, and thereupon all
ferred to that court; but, for the
interest of justice, that court may
ings to any other court of appeals
States, w^hether or not a petition

ment was originally filed in the tr
by a district court under section 2
the same as by a court of appeals u
"(d) (1) For purposes of the pre
the term 'Commission' includes the
Ante, p. 97. 3(a) (34) of this title insofar a
this title.
"(2) For purposes of subsection
706 of title 5, United States Code,
Ante, p. 146. suant to section 19(a) of this ti
agency for which the Commission is
agency or pursuant to section 19(b)
posed rule change by such a clearin
order of the appropriate regulatory
insofar as such order was entered b
appropriate regulatory agency pursu
19(b)(4)(C) of this title that such
change would be inconsistent with t
funds.".
SEC. 21. Section 28 of the Secu
U.S.C. 78bb) is amended as follows:
(1) Subsection (b) thereof is a
"(b) Nothing in this title shall
with regard to the binding effect (
in any self-regulatory organization
ities of such organization to settl
participants, (2) on any municipal
securities broker of any action tak
lished by the Municipal Securities
putes between municipal securities
brokers, or (3) of any action descr
any person who has agreed to be bou
(2) The section is further amen
the following new subsections:

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"(c) The stay, setting aside, or modification pu
19(e) of this title of any disciplinary sanction im
latory organization or a member thereof, person ass
member, or participant therein, shall not affect th
of any action taken as a result of such sanction by
organization prior to such stay, setting aside, or
vided^ That such action is not inconsistent with th
title or the rules or regulations thereunder. The r
acting in good faith which arise out of any such ac
affected in any way by such stay, setting aside, or
"(d) N"o State or political subdivision thereof
on any change in beneficial or record ownership of
through the facilities of a registered clearing age
transfer agent or any nominee thereof or custodian
the delivery or transfer of securities to or throug
such agency or agent or any nominee thereof or cust
unless such change is beneficial or record ownershi
or delivery or receipt would otherwise be taxable
political subdivision if the facilities of such re
registered transfer agent, or any nominee thereof
were not physically located in the taxing State or
No State or political subdivision thereof shall im
securities which are deposited in or retained by a
agency, registered transfer agent, or any nominee
therefor, unless such securities would otherwise be
State or political subdivision if the facilities o

ing agency, registered transfer agent, or any nomi
todian therefor were not physically located in the
political subdivision.

"(e)(1) No person using the mails, or any means
of interstate commerce, in the exercise of investm
respect to an account shall be deemed to have acte
have breached a fiduciary duty under State or Fede
expressly provided to the contrary by a law enacte
or any State subsequent to the date of enactment o
Amendments in 1975 solely by reason of his having
to pay a member of an exchange, broker, or dealer a
commission for effecting a securities transaction
of commission another member of an exchange, broke
have charged for effecting that transaction, if su
mined in good faith that such amount of commission
in relation to the value of the brokerage and resea
vided by such member, broker, or dealer, viewed in
particular transaction or his overall responsibili
accounts as to which he exercises investment discr
is exclusive and plenary insofar as conduct is cov
unless otherwise expressly provided by contract: Pr
That nothing in this subsection shall be construed
the power of the Commission under any other provis
or otherwise.

"(2) A person exercising investment discretion
an account shall make such disclosure of his polic
with respect to commissions that will be paid for
transactions, at such times and in such mannei-, a
regulatory agency, by rule, may prescribe as neces
in the public interest or for the protection of in

"(3) For purposes of this subsection a person p
and research services insofar as he—

" (A) furnishes advice, e
or writings, as to the value o
investing in, purchasing, or s
ability of securities or purch

" (B) furnishes analyses
tries, securities, economic fa
and the performance of account

" (C) effects securities
incidental thereto (such as cl
required in connection therewi
self-regulatory organization o
or person associated with a me
participant.".

SEC. 22. Section 31 of the Secur
U.S.C. 78ee) is amended to read as

"TRAXS

" S E C . 31. E v e r y nationa
mission on or before March 15 of e
equal to one three-hundredths of 1
amount of t h e sales of securitie
other evidences of indebtedness) t
(exchange during each preceding ca
applies. Every registered broker a
sion on or before March 15 of each
equal to one three-hundredths of 1

amount of the sales of securities
exchange (other than bonds, debent
indebtedness) transacted by such b
such an exchange during each prece
however^ T h a t no payment shall
which such payment would be less t
mission, by rule, may exempt any s
of securities from any fee imposed
finds that such exemption is consi
equal regulation of markets and br
ment of a national market system."

SEC. 23. Section 32 of the Secu
U.S.C. 78ff) is amended as follows

(1) Subsection (a) thereof is a
"section 15 of this t i t l e " th
organization in connection with an
participation therein or to become
thereof,".

(2) Subsection (c) thereof is d

SEC. 24. T h e Securities Excha
is amended by adding at t h e end

"AUTHORIZATION o

15 u s e 78kk. " S E C . 35. There are hereby a
out the functions, powers, and dut
$51,000,000 for the fiscal year en
$55,000,000 for the fiscal year en
years succeeding the 1977 fiscal y
sums as the Congress may hereafter

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SEC. 25. The Act entitled "An Act to authorize t
Exchange Commission to delegate certain functions",
August 20, 1962 (15 U.S.C. 78d-l(b)15 U.S.C. 78d-l(

(1) The last sentence of subsection (a) of the
is amended by striking the phrase "any rule, regula
pursuant to section 19(b)" and inserting in lieu th
pursuant to section 19 (c)".

(2) Subsection (b) of the first section thereof
follows:

"(b) With respect to the delegation of any of it
provided in subsection (a) of this section, the Com
a discretionary right to review the action of any s
Commission, individual Commissioner, hearing examin
or employee board, upon its own initiative or upon
to or intervenor in such action, within such time a
as the Commission, by rule, shall prescribe: Provid
the vote of one member of the Commission shall be s
any such action before the Commission for review: A
further, That a person or party shall be entitled t
mission if he or it is adversely affected by action
which (1) denies any request for action pursuant to
section 8(c) of the Securities Act of 1933 or the f
12(d) of the Securities Exchange Act of 1934; (2) s
in a security pursuant to section 12 (k) of the Sec
of 1934; or (3) is pursuant to any provision of the
Act of 1934 in a case of adjudication, as defined i
5, United States Code, not required Ijy that Act to
the record after notice and opportunity for hearing
extent there is involved a matter described in sect

through (6) of title 5, United States Code).".

SEC. 26. Section 9(c) of the Securities Investor
1970 (15 U.S.C. 78iii(c)) is amended to read as fol

"(c) INSPECTIONS.—The self-regulatory organizati
member of SIPC is a member shall inspect or examine
for compliance with applicable financial responsibi
that if a member of SIPC is a member of more than o
tory organization, the Commission, pursuant to sect
1934 Act, shall designate one of such self-regulato
as responsible for the examination of such member f
with applicable financial responsibility rules.".

SEC. 27. (a) Section 24 of the Securities Act of
77x) is amended by changing the figure "5,000" to "

(b) Section 32(a) of the Securities Exchange Ac
U.S.C. 78ff(a)) is amended by changing the phrase "
not more than two years" to read "or imprisoned not
years".

(c) Section 29 of the Public Utility Holding Co
(15 U.S.C. 79z-315 U.S.C. 79z-315 U.S.C. 79z-315 U
not more than two years" to read "or imprisoned not
years".

(d) Section 325 of the Trust Indenture Act of 1
77yyy) is amended by changing the figure "$5,000" t

(e) Section 49 of the Investment Company Act of
80a-4815 U.S.C.
80a-4815 U.S.C.
80a-4815 U.S.C.
80a-4815 U.S.C.
80a-48) is amended by changing the phrase "or impri
than two years" to read "or imprisoned not more tha

(f) Section 217 of the Investment Advisers Act
80b-1715 U.S.C.
80b-1715 U.S.C.
80b-1715 U.S.C.
80b-1715 U.S.C.
80b-17) is amended by changing the phrase "imprison
than two years" to read "imprisoned for not more th

---

15 u s e 80a-51.

SKC. 28. The Investment Com
is amended as follows:

15 u s e 80a-15.,

(1) Section 15 thereof is
following new subsection:

" (f) (1) A n investment
the functions of an investment
company or an affiliated person
rate trustee may receive any am
sale of securities of, or a sa
adviser or corporate trustee wh
investment advisory contract wi
control of or identity of such

" (A) for a perio
at least 75 per centum
such registered company
thereto, by reorganizat
persons of the investme
porate trustee, or (ii)
ment adviser or such co

" (B) there is no
as a result of such tra
conditions, or understa

15 u s e 80a-2.

" (2) (A) F o r the purpo
interested persons of a corpora
ance with section 2 (a) (1 9
deemed to be an interested pers
reason of (i) his being a membe
board or (ii) his membership in
specified in clause (i) of this
" (B) F o r the purpose o
unfair burden on a registered i
arrangement, d u r i n g the tw
such transaction occurs, whereb
trustee or predecessor or succe
trustee or any interested perso
porate trustee receives or is e
directly or indirectly (i) from
chase or sale of securities or
such company, other t h a n bon
pal underwriter for such compan
security holders for other t h
services.
" (3) If—
" (A) an assignme
registered investment c
adviser to such company
identity of a corporate
pany, and such adviser
corporate trustee with
in amount than the amou
" (B) as a result
the assets by, a regist
registered investment c
in amount, a transactio
g r a p h (1) (A) of
such discrepancy in size of ass
sion in determining whether or
section 6(c) for exemption from
should be granted.

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"(4) Paragraph (1)(A) of this subsection shall n
transaction in which a controlling block of outstan
ties of an investment adviser to a registered inves
a corporate trustee performing the functions of an
to a registered investment company is—

"(A) distributed to the public and in which
no change in the identity of the persons who
ment adviser or corporate trustee, or

"(B) transferred to the investment adviser
trustee, or an affiliated person or persons o
adviser or corporate trustee, or is transferr
adviser or corporate trustee to an affiliated
the investment adviser or corporate trustee:
each transferee (other than such adviser or t
person and (ii) the transferees (other than s
owned in the aggregate more than 25 per centu
ing securities for a period of at least six m
transfer.",

(2) Section 15(c) thereof is amended by adding
a new sentence as follows: "It shall be unlawful fo
registered investment company, in connection with t
of the terms of any contract whereby a person under
serve or act as investment adviser of such company,

the purchase price or other consideration any perso
in connection with a transaction of the type referr
(1), (3), or (4) of subsection (f).".

(3) Section 16 thereof is amended as follows:

(A) in the first sentence of subsection (b
provisions of subsection (a) of this section"
thereof "The foregoing provisions of this sec

(B) by redesignating subsection (b) as sub
out "this subsection (b)" therein, and insert
"this subsection (c)"; and

(C) by adding after subsection (a) thereof
subsection:

"(b) Any vacancy on the board of directors of a
ment company which occurs in connection with compli

tion 15(f) (1) (A) and which must be filled by a pe
interested person of either party to a transaction
15(f) (1) (A) shall be filled only by a person (1)
and proposed for election by a majority of the dire
pany who are not such interested persons, and (2)
by the holders of the outstanding voting securities
except that in the case of the death, disqualificat
ignation of a director selected and elected pursuan
and (2) of this subsection (b), the vacancy created
filled as provided in subsection (a).".

(4) Section 13(b), 15(d), 18(i), and 32(a) ther
by striking out the phrases "subsection (b) of sect
16(b)" wherever they occur and inserting in lieu t
16(c)".

(5) Section 10(e) thereof is amended to read as

"(e) If by reason of the death, disqualification
tion of any director or directors, the requirements
provisions of this section or of section 15(f) (1)
shall not be met by a registered investment company
such provision shall be suspended as to such regist

KW-i tkA. r« _ 77 - 15

" (1) for a period of th
be filled by action of the

"(2) for a period of six
required to fill the vacanc

"(3) for such longer per
by rules and regulations up
application, as not inconsi

"Investment adviser."

(6) Section 9 thereof is amen
following new subsection:

15 u s e 80a-9.

"(d) For the purposes of subs
tion, the term 'investment advis
performing the functions of an i

15 u s e 80a-35.

(7) Section 36 thereof is fur
thereof the following new subsec

"(d) For the purposes of subs
tion, the term 'investment advis
tee performing the functions of

15 u s e 80b-20.

SEC. 29. The Investment Advis
amended as follows:

(1) Subsection (c) of section
follows:

Investment adviser, registration.

"(c) (1) An investment advise
templates becoming an investment
ing with the Commission an appli
and containing such of the follo
the Commission, by rule, may pre
in the public interest or for th

15 u s e 80b-3.

"(A) the name and form o
investment adviser engages
name of the State or other
investment adviser is organ
cipal business office and b
addresses of his or its par
performing similar function
be an individual, of such i
its employees;

"(B) the education, the
years, and the present busi
adviser and of his or its p
performing similar function
thereof;

"(C) the nature of the b
including the manner of giv
or reports;

"(D) a balance sheet cer
accountant and other financ
Commission specifies, be ce

" (E) the nature and s
adviser with respect to cl

" (F) the basis or bas
compensated;

"(G) whether such invest
ated with such investment a
tion which would be a basis
of registration of such inv
subsection (e) of this sect

" (H) a statement as t
investment adviser consists

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ment adviser and a statement as to Avhether a
of the business of such investment adviser, c
of rendering investment supervisory services.

"(2) Within forty-five days of the date of the f
cation (or within such longer period as to which th
sents) the Commission shall—

" (A) by order grant such registration; or

"(B) institute proceedings to determine wh
should be denied. Such proceedings shall incl
grounds for denial under consideration and op
ing and shall be concluded within one hundred
the date of the filing of the application for
conclusion of such proceedings the Commission
grant or deny such registration. The Commissi
the time for conclusion of such proceedings f
if it finds good cause for such extension and
for so finding or for such longer period as t
consents.

The Commission shall grant such registration if the
that the requirements of this section are satisfied
shall deny such registration if it does not make su

it finds that if the applicant were so registered,
be subject to suspension or revocation under subsec
section.".

(2) Subsection (e) of section 203 thereof, is am
follows:

"(e) The Commission, by order, shall censure, pl
the activities, functions, or operations of, suspen
exceeding twelve months, or revoke the registration
adviser if it finds, on the record after notice and
ing, that such censure, placing of limitations, sus
tion is in the public interest and that such invest
person associated with such investment adviser, whe
subsequent to becoming so associated—

" (1) has willfully made or caused to be m
for registration or report required to be fil
sion under this title, or in any proceeding b
with respect to registration, any statement w
and in the light of the circumstances under w
false or misleading with respect to any mater
omitted to state in any such application or r
fact which is required to be stated therein.

"(2) has been convicted within ten years p
of any application for registration or at any
any felony or misdemeanor which the Commissio

"(A) involves the purchase or sale o
taking of a false oath, the making of a
perjury, burglary, or conspiracy to com

"(B) arises out of the conduct of th
dealer, municipal securities dealer, in
insurance company, or fiduciary;

"(C) involves the larceny, theft, ro
gery, counterfeiting, fraudulent concea
fraudulent conversion, or misappropriat
rities; or

"(D) involves the violation of secti
1343 or chapter 25 or 47 of title 18, U

"(3) is permanently or temporarily enjoined
ment, or decree of any court of competent jur

---

as an investment adviser,
securities dealer, or as an
investment company, bank, o
ing in or continuing any co
any such activity, or in co
any security.

"(4) has willfully viola
of 1933, the Securities Exc
Company Act of 1940, this
any such statutes or any ru
making Board, or is unable

15 u s e 77a, 78a, 8ba-51.

"(5) has willfully aide
induced, or procured the vi
vision of the Securities Ac
of 1934, the Investment Com
or regulations under any of
Municipal Securities Rulema
to supervise, with a view t
of such statutes, rules, an
mits such a violation, if s
vision. For the purposes of
be deemed to have failed re

"(A) there have bee
tem for applying such
expected to prevent an
such violation by suc
"(B) such person ha
and obligations incum
cedures and system wit
such procedures and sy
"(6) is subject to an or
ant to subsection (f) of th
right of such person to be
which order is in effect wi

Censure or limitation.

(3) Subsection (f) of section
follows:

15 u s e 80b-3.

Notice and hearing.

"(f) The Commission, by order
on the activities of any person
ated with an investment adviser,
twelve months or bar any such pe
investment adviser, if the Commi
and opportunity for hearing, tha
suspension, or bar is in the pub
committed or omitted any act or
(1), (4), or (5) of subsection
of any offense specified in para
ten years of the commencement of
tion, or is enjoined from any ac
paragraph (3) of said subsection
person as to whom such an order
being associated with an investm
become, or to be, associated wit
consent of the Commission, and i
adviser to permit such a person
ciated with him without the cons
ment adviser knew, or in the exe
known, of such order.".

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(4) Section 203 thereof is further amended by st
tion (g) thereof and redesignating subsections (h)
subsections (g) and (h), respectively.

(5) Section 204 thereof is amended to read as f

"SEC. 204. Every investment adviser who makes us
of any means or instrumentality of interstate comme

with his or its business as an investment adviser (
specifically exempted from registration pursuant to
of this title), shall make and keep for prescribed
(as defined in section 3(a) (37) of the Securities
1934), furnish such copies thereof, and make and di
reports as the Commission, by rule, may prescribe a
appropriate in the public interest or for the prote
All records (as so defined) of such investment advi
at any time, or from time to time, to such reasonab
or other examinations by representatives of the Com
Commission deems necessary or appropriate in the pu
or for the protection of investors.".

SEC. 30. Section 4 of the Securities Act of 1933
is amended by adding at the end thereof the followi

"(5) (A) Transactions involving offers or sales
promissory notes directly secured by a first lien o
real estate upon which is located a dwelling or oth
commercial structure, and participation interests i

"(i) where such securities are originated
association, savings bank, commercial bank, o
institution which is supervised and examined
State authority, and are offered and sold sub
conditions:
" (a) the minimum aggregate sales pri
not be less than $250,000;
"(b) the purchaser shall pay cash eit
sale or within sixty days thereof; and
"(c) each purchaser shall buy for his
"(ii) where such securities are originated
approved by the Secretary of Plousing and Urb
pursuant to sections 203 and 211 of the Natio
and are offered or sold subject to the three
subparagraph (A) (i) to any institution descr
paragraph or to any insurance company subject
of the insurance commissioner, or any agency
like function, of any State or territory of t
District of Columbia, or the Federal Home Loa
poration, the Federal National Mortgage Assoc
Government National Mortgage Association.
"(B) Transactions between any of the entities de
paragraph (A)(i) or (A)(ii) hereof involving non-as
tracts to buy or sell the foregoing securities whic
within two years, where the seller of the foregoing
to any such contract is one of the parties describe
(A)(i) or (A)(ii) who may originate such securitie
chaser of such securities pursuant to any such cont
tion described in subparagraph (A) (i) or any insur
described in subparagraph (A) (ii), the Federal Hom
Corporation, Federal National Mortgage Association,
ment National Mortgage Association and where the fo
securities are subject to the three conditions for
paragraphs (A) (i) (a) through (c).

"(C) The exemption provided b
hereof shall not apply to resale
thereto, unless each of the cond
graphs (A) (1) (a) through (c) a

Effective date.
15 use 78b note,
v4rete, pp.97,104,
111, 121, 127,
131, 141, 146.
Ante, p. 162.

SEC. 31. (a) This Act shall b
ment except as hereinafter provide
Act to sections 3(a) (12), 6(a)
15B(a), 17A(b) and (c), and 19(g
of 1934 shall become effective o
of enactment of this Act, and th
section 31 of the Securities Ex
tive on January 1, 1976. Neither
6(b)(2), or 6(c)(1) of the Secur
amended by this Act) nor any rul
apply so as to deprive any perso
securities exchange (or its succ
date of enactment of this Act, a
in the constitution of such exch
any such exchange (or its succes
becomes associated with such mem

15 use 78f note.

(b) If it appears to the Com
the effective date of any amendm
Exchange Act of 1934 that the or
securities exchange or registere
the Commission on the date of en

with such Act as amended, the Co
exchange or association in writi
the exchange or association is n
and after the one hundred eighti
of such notice by a national sec
association, the Commission, wit
Ante, p. 146. tion 19(h) of the Securities Ex
this Act, is authorized by order
such exchange or association or
functions, and operations of any
Commission finds, after notice a
organization or rules of such ex
with such Act. Any such suspensi
effect until the Commission, by
or association is in compliance

Approved June 4, 1975.

LEGISLATIVE HISTORY:
HOUSE REPORTS No. 94-123 accompanyi
Foreign Commerce)
SENATE REPORT No. 94-75 (Comm. on B
CONGRESSIONAL RECORD, Vol. 121 (197
Apr. 17, considered and passed
Apr. 24, considered and passed
May 20, Senate agreed to confe
May 22, House agreed to confer
WEEKLY COMPILATION OF PRESIDENTIAL
June 5, Presidential statement

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